EQUITY RESEARCH · CHINA & HONG KONG · INITIATION OF COVERAGE

China & Hong Kong: 17 Short Initiations

Resources, batteries, semiconductors, robotics, medtech and AI models. Business models, competition, TAM, financials and valuation in 2–3 pages each.

12 October 2026 · Prices as of the 12-Oct-2026 close

7	9	1
Buy	Hold	Sell

Highest-conviction Buys: Zijin Mining (+37%), CATL (+36%), Han's Laser (+35%). Each pairs earnings growth with a valuation the market has de-rated during the September sell-off.

Sell: Leaderdrive: a good company priced at ~200x+ forward earnings for a humanoid-robot future that is not yet visible in its numbers.

Holds fall into three groups. Lithium and nickel (Tianqi, Ganfeng, Huayou), where prices are turning down. Cyclical winners whose peak earnings look priced in (GigaDevice, China Jushi). Turnaround or mix stories awaiting proof (Sungrow, Sieyuan). The two LLM developers (Z.AI, MiniMax) we see as binary, with today's price close to our risk-weighted value.

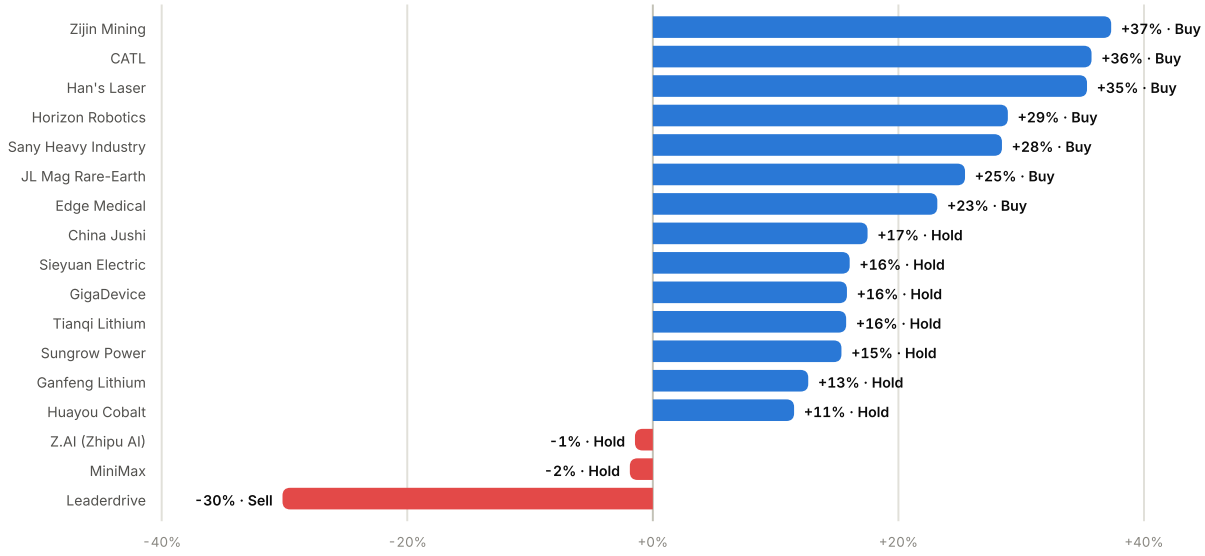
Built from the source pack *"17 China/HK Stocks: Business Model, Performance and Outlook"* (6 Oct 2026), updated with company filings, consensus data and market prices to 12 Oct 2026. AI-assisted research for information only; not investment advice. See the methodology and disclosures at the end.

Summary of ratings and valuation

#	Company	Rating	Price	Target	Return	Mkt cap US$bn	FY26E	FY27E	One-line view
1	**Zijin Mining** 601899.SH	Buy	RMB30.22	RMB41.50	+37%	117.1	P/E 9.8x	8.7x	The miner with growth: volume-led compounding at a single-digit multiple
2	**Sany Heavy Industry** 600031.SH	Buy	RMB17.52	RMB22.50	+28%	23.6	P/E 15.6x	12.5x	A global share-taker at a trough multiple; overseas is now the earnings engine
3	**Sieyuan Electric** 002028.SZ	Hold	RMB120.65	RMB140.00	+16%	14.1	P/E 25.9x	20.8x	A quality private-sector grid franchise; storage mix and valuation cap the upside
4	**CATL** 300750.SZ	Buy	RMB298.38	RMB405.00	+36%	209.1	P/E 14.6x	12.6x	Still the cost and technology leader; second-sourcing fears have created an entry point
5	**Sungrow Power** 300274.SZ	Hold	RMB82.35	RMB95.00	+15%	25.3	P/E 13.8x	11.7x	Margins are recovering; revenue has to follow before we turn constructive
6	**Huayou Cobalt** 603799.SH	Hold	RMB34.53	RMB38.50	+11%	9.8	P/E 11.1x	9.4x	Cheap for a reason: the integration is real, but earnings quality has slipped
7	**Tianqi Lithium** 9696.HK	Hold	HK$25.92	HK$30.00	+16%	9.4	P/E 5.8x	7.8x	A world-class asset in a commodity-price trade; the H-share discount is the cushion
8	**Ganfeng Lithium** 1772.HK	Hold	HK$27.96	HK$31.50	+13%	12.2	P/E 7.1x	8.9x	More diversified than Tianqi, but management's own price view caps the upside
9	**GigaDevice** 603986.SH	Hold	RMB310.84	RMB360.00	+16%	32.6	P/E 16.2x	15.6x	Exceptional earnings, but we would be paying for the top of the memory cycle
10	**China Jushi** 600176.SH	Hold	RMB38.30	RMB45.00	+17%	22.7	P/E 22.2x	17.0x	AI has turned a commodity producer into a growth story; the price cycle still rules
11	**JL Mag Rare-Earth** 6680.HK	Buy	HK$14.75	HK$18.50	+25%	4.4	P/E 19.2x	15.0x	The global magnet leader; own it through the discounted H-share
12	**Han's Laser** 002008.SZ	Buy	RMB70.18	RMB95.00	+35%	10.8	P/E 26.3x	18.5x	A genuine AI-capex winner with order visibility; the sell-off is an entry point
13	**Horizon Robotics** 9660.HK	Buy	HK$3.995	HK$5.15	+29%	8.1	EV/S 7.9x	5.8x	The 'ARM + Android' of driver assistance, back at its IPO price; licensing is the hidden gem
14	**Leaderdrive** 688017.SH	Sell	RMB252.02	RMB176.00	−30%	6.9	P/E 308x	205x	A good company priced for a humanoid future that has not yet arrived
15	**Edge Medical** 2675.HK	Buy	HK$32.88	HK$40.50	+23%	1.6	EV/S 12.3x	8.8x	An export-led surgical-robot challenger at breakeven: small and volatile, but worth owning
16	**Z.AI (Zhipu AI)** 2513.HK	Hold	HK$619.00	HK$610.00	−1%	36.7	EV/S 40.2x	14.3x	Real traction, enormous expectations: a well-funded option on China's LLM market
17	**MiniMax** 0100.HK	Hold	HK$214.00	HK$210.00	−2%	9.5	EV/S 30.1x	13.5x	Global consumer reach and a fast-growing API business, but losses are three times revenue

Prices are 12-Oct-2026 closes (A-shares in RMB; H-shares in HK$). P/E for H-share-rated names uses the H-share price. EV/S = enterprise value / sales for loss-making companies. Ratings: Buy ≥ +20% implied return; Sell ≤ −10%; Hold otherwise.

Implied 12-month return to target price



Cross-cutting themes

1. Strong H1 numbers, de-rated shares

Most of the 17 reported strong H1'26 results, yet the source pack notes every stock trades 28–81% below its 52-week high. China's CSI 300 fell 5.8% in September on worries about tighter policy in major economies and weak domestic demand. Several names (CATL, GigaDevice, Han's Laser, Sungrow) now trade at or near multi-year-low multiples on forward earnings.

2. The AI capex chain has moved down the stack

AI servers are pulling through demand for niche memory (GigaDevice), electronic glass-fibre cloth (China Jushi), PCB drilling equipment (Han's Laser), grid equipment (Sieyuan) and storage (CATL, Sungrow). The question for each is how long pricing power lasts once capacity responds. We are Buy where order books give visibility (Han's) and Hold where earnings already look near peak (GigaDevice, Jushi).

3. Lithium has turned again

China lithium carbonate fell 24% in September to ~RMB122k/t; Wood Mackenzie expects 2026 supply to grow ~28%, and a revised SMM inventory methodology added ~175kt to stock estimates. We model lower H2'26 and FY27 prices for Tianqi and Ganfeng, below broker forecasts in the source pack.

4. Strong CNY is a quiet earnings headwind

USD/CNH is ~6.69. Exporters with dollar receivables (Sany, Sungrow, Sieyuan) booked FX finance losses in H1'26, and dollar-priced commodity producers (Zijin) translate fewer renminbi per unit.

5. A/H spreads matter

Most H-shares trade at large discounts to their A-shares (JL Mag −46%, Ganfeng −45%, Tianqi −44%, Sany −18%), but CATL's H-share trades at a ~41% premium. Where both lines exist we name our preferred line in each report.

6. Robotics and AI models: real growth, stretched prices

Horizon Robotics and Edge Medical combine fast growth with valuations the market has already cut sharply, so we rate them Buy. Leaderdrive (Sell), Z.AI and MiniMax (Hold) price in outcomes several years away.

Upcoming dates

Q3 results: Ganfeng (mid-Oct), China Jushi 20 Oct, Han's Laser 23 Oct, Sieyuan and Huayou 24 Oct, Tianqi 26 Oct, JL Mag 28 Oct, Sungrow and GigaDevice 30 Oct, Leaderdrive 31 Oct.

01 · INDUSTRIALS & RESOURCES · METALS & MINING

Zijin Mining 紫金矿业

601899.SH · Initiation of coverage · 12 October 2026

Buy

TP **RMB41.50**

Price RMB30.22 · +37%

The miner with growth: volume-led compounding at a single-digit multiple

Zijin is China's largest diversified miner and one of the few majors still growing mined copper and gold output by double digits. At 9.8x FY26E and 8.7x FY27E P/E it trades at a steep discount to global peers despite superior growth and moderate leverage. We initiate at **Buy** with a TP of RMB41.50 (+37% upside), based on 12x FY27E EPS.

- **Growth few majors can match.** The 2026 plan targets ~105t of mined gold (+17%) and 1.2Mt of copper (+10%), rising to 130–140t and 1.5–1.6Mt by 2028, a ~13% copper CAGR while most Western peers are flat.
- **Record prices, record cash.** Gold at ~US$4,200/oz and COMEX copper at ~US$6.77/lb (~US$14,900/t) drove H1'26 net profit of RMB39.2bn (+68%) and operating cash flow of RMB55.5bn (+92%).
- **The valuation gap looks unjustified.** Zijin trades on 8.7x FY27E vs ~19x for Freeport and ~13x for Newmont, and a 35% payout target supports a ~3.6% FY26E dividend yield.

Catalysts

- Q3'26 results (late October) and 2027 production guidance.
- Ramp-up of Julong phase II, Kamoa-Kakula expansions and lithium projects.
- Dividend delivery against the 35% payout target.

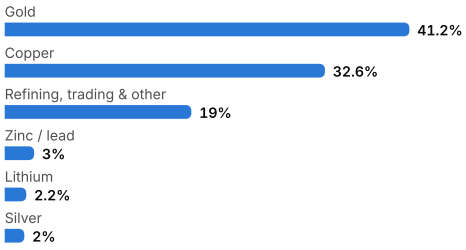
Key risks

- Metal prices: a 15–20% fall in gold and copper would cut FY27E EPS by roughly a quarter.
- Jurisdiction and operating risk in the DRC, Serbia, Colombia and Suriname (permits, export rules, tax).
- CNY strength (USD/CNY ~6.69) compresses RMB-reported margins on dollar-priced metal.
- M&A discipline: acquisitive growth raises the risk of overpaying near cycle highs.

Key data

Price (12 Oct 2026)	RMB30.22
Target price (12m)	RMB41.50
Implied return	+37.3%
Market cap	RMB783.6bn / US$117.1bn
Enterprise value	RMB904.5bn
Net debt	RMB53.7bn
Shares outstanding	26.60bn
52-week range	24.42 – 44.29
Performance	-11.5% YTD
Dividend yield (FY26E)	3.6%
Consensus target	RMB47.90, 15 analysts
Other listing	H-share 2899.HK at HK$32.58 (~8% discount to A)

H1'26 revenue mix by product (%)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB bn)	293	304	349	405	435	465
YoY growth	–	+3%	+15%	+16%	+7%	+7%
Gross margin	15.8%	20.3%	27.7%	34.0%	35.0%	35.0%
Net profit, attributable (RMB bn)	21.1	32.0	51.8	82.0	92.0	101
YoY growth	n.m.	+52%	+62%	+58%	+12%	+10%
EPS (RMB)	0.80	1.20	1.91	3.08	3.46	3.80
P/E (x)	**37.8x**	**25.2x**	**15.8x**	**9.8x**	**8.7x**	**8.0x**
DPS (RMB)	0.25	0.38	0.60	1.08	1.21	1.33
Dividend yield	0.8%	1.3%	2.0%	3.6%	4.0%	4.4%

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price.

Company background

Founded in 1993 around the Zijinshan gold-copper deposit in Shanghang, Fujian, Zijin grew under geologist-founder Chen Jinghe from a county gold mine into a global group with mines on five continents. It listed H-shares in Hong Kong in 2003 and A-shares in Shanghai in 2008; its largest shareholder is Minxi Xinghang, the Shanghang county state-asset vehicle. Core assets include Kamoa-

Kakula (DRC, with Ivanhoe), the Serbian copper complex (Bor and Čukaru Peki), Julong copper in Tibet, and gold mines in Colombia, Suriname, Australia and Kazakhstan. In 2025 its overseas gold assets were spun out as Zijin Gold International in Hong Kong, in which Zijin keeps control.

Business model

Zijin earns the spread between metal prices and its unit costs on self-mined output, which generates most of its gross profit. Refining and trading add revenue at thin margins (the 19% 'other' slice in the mix chart). Its edge is in-house geology and mining engineering. That lets it buy under-developed or distressed deposits cheaply, often in higher-risk jurisdictions, then build them faster and at lower capital cost than peers. Gold (41% of H1'26 sales) and copper (33%) dominate; zinc/lead, silver and a fast-growing lithium arm (H1 output up ~5x) make up the rest. Operating cash flow funds greenfield expansion, bolt-on M&A and a 35% dividend payout.

Competitive landscape

In copper, Zijin's 1.09Mt of 2025 mined output places it among the world's top five producers, alongside BHP, Freeport and Codelco; in gold, ~90t (~2.9Moz) puts it in the global top ten behind Newmont, Barrick and Agnico Eagle. Management targets a top-three ranking in both by 2028. Compared with Western majors, it grows faster, spends less capital per tonne and has Chinese bank funding. The trade-offs are a riskier footprint (DRC, Serbia, Colombia, Suriname) and a lower payout. Domestic comparables are CMOC (copper/cobalt) and Shandong Gold/Zhaojin (gold).

Addressable market (TAM)

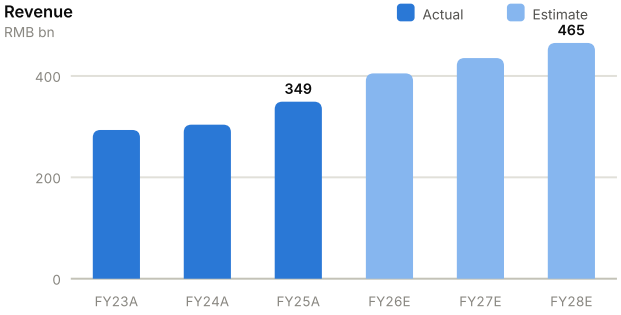
Zijin's addressable market is global mined copper and gold supply. Refined copper consumption runs at ~27Mt a year (~US$400bn at current prices). Electrification, grid build-out and AI data-centre power demand are colliding with declining ore grades and slow mine development, which supports a structural deficit narrative. Annual gold mine supply of ~3,600t is worth ~US$485bn at today's price, with central-bank and ETF demand underpinning prices. Zijin's 2026 targets equal roughly 4–5% of world copper and ~3% of world gold mine supply.

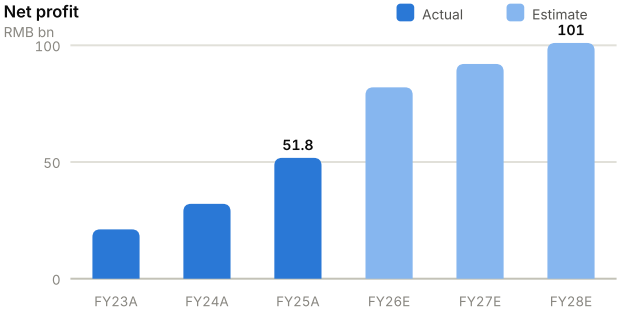
~US$400bn
Global refined copper market (~27Mt at ~US$14.9k/t)

~US$485bn
Annual gold mine supply (~3,600t at ~US$4,195/oz)

130–140t / 1.5–1.6Mt
Zijin's 2028 gold / copper output targets

Financial analysis





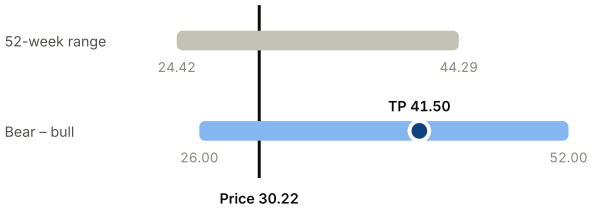
Revenue rose from RMB293bn (FY23) to RMB349bn (FY25), but the bigger change is margin. Gross margin expanded from 15.8% to 27.7%, and to 34.6% on a TTM basis, as prices rose and self-mined volumes grew. Net profit rose 2.5x in two years to RMB51.8bn in FY25. H1'26 delivered RMB39.2bn (+68%) with a reported ROE of 19.6%. Net debt of ~RMB54bn is only ~0.4x TTM EBITDA of RMB122bn, and S&P projects debt/EBITDA of ~0.9–1.0x. We forecast net profit of RMB82.0bn/92.0bn/101bn for FY26–28E. That assumes flat-to-slightly-lower gold and copper prices, so volume does the work. Rough sensitivities: US$100/oz on gold moves annual net profit by ~RMB1.6bn (~2%); US$1,000/t on copper moves it by ~RMB5.5bn (~6%).

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
Freeport-McMoRan	FCX US	19.3x	11.7x	4.3x
Newmont	NEM US	13.4x	7.0x	4.6x
CMOC Group	603993 CH	11.0x	6.0x	1.5x
Zijin Mining	**601899 CH**	**9.1x**	**7.4x**	**2.4x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E).

Valuation range vs current price (RMB)



Bear (Gold US$3,500/oz, copper US$11,000/t): RMB26.00. Bull (Gold US$4,800/oz, copper US$16,000/t): RMB52.00.

Our TP of RMB41.50 is 12x FY27E EPS of RMB3.46, roughly a 20% discount to the average forward P/E of Freeport, Newmont and CMOC (~14.6x) to reflect jurisdictional risk. It still implies only ~8x FY27E EV/EBITDA versus ~12x for Freeport. The consensus average target is RMB47.90 (15 analysts, all Buy-rated). Our bear case (RMB26.00) assumes gold at US$3,500/oz and copper at US$11,000/t; our bull case (RMB52.00) assumes US$4,800/oz and US$16,000/t. The H-share (2899.HK) offers the same exposure at an ~8% discount.

Sources: Company interim/annual reports and 2026–28 production plan; S&P Global Ratings; StockAnalysis/S&P Global (consensus, multiples); IBKR (prices, gold/copper futures); source pack.

02 · INDUSTRIALS & RESOURCES · MACHINERY

Sany Heavy Industry 三一重工

600031.SH · Initiation of coverage · 12 October 2026

Buy

TP **RMB22.50**

Price RMB17.52 · +28%

A global share-taker at a trough multiple; overseas is now the earnings engine

Sany is China's largest construction-machinery maker and one of the world's top five or six OEMs, with 61% of H1'26 revenue earned outside China. Profit quality is improving (H1'26 EBIT +56%), but FX finance costs masked it at the net line. At 12.5x FY27E P/E with ~RMB38bn of net cash, we initiate at **Buy** with a TP of RMB22.50 (+28% upside) on 16x FY27E EPS.

- **Overseas is structural, not cyclical.** Overseas was ~64% of FY25 revenue and earned a 32.5% gross margin in H1'26, above domestic, as Sany takes share from Caterpillar and Komatsu in Asia, Africa and Latin America.
- **China is bottoming.** Excavator sales rose 17% in 2025 and 24% in Jan–Aug 2026 (CCMA), helped by replacement of the 2016–21 fleet.
- **Operating leverage and cash returns.** FY25 operating cash flow rose 35%, a RMB400–800m buyback is under way, and the payout is ~50%. We expect FY27E EPS of RMB1.40 (+24% YoY).

Catalysts

- Monthly CCMA excavator sales and export data.
- Q3'26 results (late October).
- Buyback execution (RMB400–800m) and dividend.

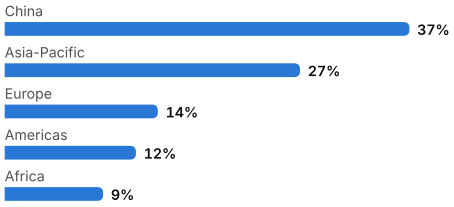
Key risks

- China property and infrastructure relapse.
- Trade barriers (tariffs, anti-dumping actions) against Chinese machinery.
- FX: a stronger CNY creates translation and finance losses.
- Credit risk on customer financing and receivables.

Key data

Price (12 Oct 2026)	RMB17.52
Target price (12m)	RMB22.50
Implied return	+28.4%
Market cap	RMB158.1bn / US$23.6bn
Enterprise value	RMB121.1bn
Net cash	RMB38.1bn
Shares outstanding	9.15bn
52-week range	16.68 – 24.29
Performance	-17.2% YTD
Dividend yield (FY26E)	3.2%
Consensus target	RMB26.72, 19 analysts
Other listing	H-share 6031.HK at HK$16.93 (~18% discount to A)

FY25 revenue by region (%, approx.)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB bn)	74.0	78.4	89.7	104	117	128
YoY growth	–	+6%	+14%	+16%	+12%	+9%
Gross margin	27.0%	26.9%	27.8%	28.0%	28.5%	29.0%
Net profit, attributable (RMB bn)	4.53	5.96	8.41	10.3	12.8	14.8
YoY growth	n.m.	+32%	+41%	+22%	+24%	+16%
EPS (RMB)	0.53	0.70	0.98	1.13	1.40	1.62
P/E (x)	**33.1x**	**25.0x**	**17.9x**	**15.6x**	**12.5x**	**10.8x**
DPS (RMB)	0.22	0.36	0.49	0.56	0.70	0.81
Dividend yield	1.3%	2.1%	2.8%	3.2%	4.0%	4.6%

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price.

Company background

Sany was founded in 1989 by Liang Wengen and three partners in Lianyuan, Hunan, and is now headquartered in Changsha. It began in welding materials before moving into concrete pumps and excavators. It listed in Shanghai in 2003 and added a Hong Kong H-share listing in 2025; Liang remains the controlling shareholder through Sany Group. Sany has been China's leading excavator brand since 2011 and sells in more than 180 countries. Its overseas manufacturing includes Putzmeister in Germany (acquired 2012) and plants in India, Indonesia, the US and Brazil.

Business model

Sany makes and sells excavators (~40% of H1'26 revenue), concrete machinery, cranes, piling and road machinery through dealers and direct sales. It supports sales with customer financing (instalments and leases) and a growing parts-and-service business. Profitability depends on volume (fixed-cost absorption), mix and pricing discipline: large excavators, mining equipment and overseas units carry higher margins. Electrified products and digital fleet management are differentiators. Overseas growth relies on local plants and a dealer network built over the past decade.

Competitive landscape

At home Sany competes with XCMG, Zoomlion, LiuGong, SDLG and Sunward, and foreign brands' share of China's excavator market has shrunk sharply over the past decade. Globally the benchmarks are Caterpillar, Komatsu, Deere, Volvo CE, Hitachi CM and Liebherr. Sany wins on price (Chinese machines typically sell at a meaningful discount to Japanese and US brands), product breadth and speed of dealer expansion. Its gaps are brand perception in North America and Western Europe, after-market density, and exposure to trade barriers. China's excavator exports now roughly equal domestic sales (116,739 vs 118,518 units in 2025).

Addressable market (TAM)

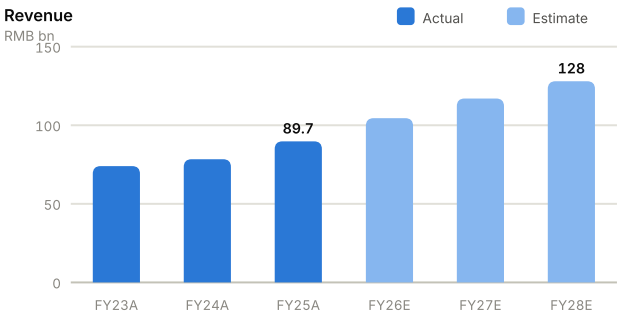
Global construction equipment is roughly a US$200–250bn market in annual OEM sales. China sold 235,257 excavators in 2025 (+17%), half of them exported, and 191,557 in Jan–Aug 2026 (+24%). Domestic demand rests on fleet replacement and infrastructure and water-conservancy spending; exports ride emerging-market mining and infrastructure. Sany's ~US$12.5bn of FY25 revenue is a mid-single-digit share of the global pool, which leaves room to grow.

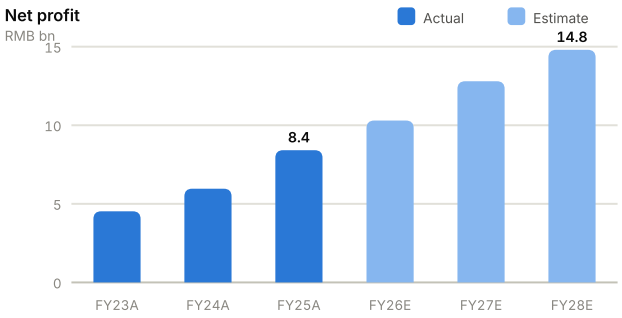
235,257
China excavator sales in 2025 (+17%), about half exported

+24%
China excavator sales growth, Jan–Aug 2026 (CCMA)

~64%
Overseas share of Sany revenue, FY25

Financial analysis



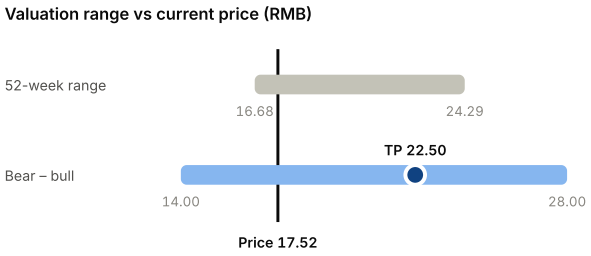


FY25 revenue rose 14.7% to RMB89.7bn and net profit 41% to RMB8.4bn, with gross margin up 0.9pt to 27.8%. H1'26 revenue grew 19.5% to RMB53.5bn and EBIT 56%, but net profit rose only 9% to RMB5.7bn because CNY strength created FX finance losses on overseas receivables. The balance sheet carries ~RMB38bn of net cash; ROE is a modest ~11%, which leaves room for improvement. We forecast revenue of RMB104bn/117bn/128bn and net profit of RMB10.3bn/12.8bn/14.8bn for FY26–28E. Our FY26E EPS of RMB1.13 is slightly below consensus (RMB1.17) on FX.

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
Caterpillar	CAT US	27.8x	25.4x	5.5x
Komatsu	6301 JP	15.7x	10.4x	1.8x
XCMG	000425 CH	8.5x	8.9x	1.0x
Sany Heavy Industry	**600031 CH**	**15.2x**	**8.4x**	**1.2x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E).



Bear (Domestic relapse; FX losses persist): RMB14.00. Bull (China upcycle plus 20%+ overseas growth): RMB28.00.

Our TP of RMB22.50 is 16x FY27E EPS of RMB1.40: in line with Komatsu (~15.7x forward), above XCMG (~8.5x) and well below Caterpillar (~28x). Faster overseas growth and the net-cash balance sheet justify that level. The H-share (6031.HK) trades at an ~18% discount to the A-share. The consensus average target is RMB26.72 (19 analysts, 18 Buy-rated). Bear case RMB14.00: domestic relapse and persistent FX losses. Bull case RMB28.00: China upcycle plus 20%+ overseas growth.

Sources: Company FY25 results release and H1'26 HKEX results; CMBI; CCMA via Mysteel/Yieh; StockAnalysis/S&P Global; IBKR; source pack.

03 · INDUSTRIALS & RESOURCES · ELECTRICAL EQUIPMENT

Sieyuan Electric 思源电气

002028.SZ · Initiation of coverage · 12 October 2026

Hold

TP **RMB140**

Price RMB120.65 · +16%

A quality private-sector grid franchise; storage mix and valuation cap the upside

Sieyuan is China's leading privately owned transmission-and-distribution equipment maker, riding record grid investment at home and a global transformer shortage abroad. Revenue grew 27% in H1'26 but profit only 13% as low-margin storage diluted the mix. At 20.8x FY27E P/E much of the growth is priced in; we initiate at **Hold** with a TP of RMB140 (+16% upside).

- **Structural demand.** China's grid capex is at record levels (more than RMB5tn planned for 2026–30), and overseas utilities face multi-year transformer lead times.
- **Execution record.** Revenue grew at a 27% CAGR and net profit at 37% over FY22–25, with a steady ~30% gross margin and net cash throughout.
- **Mix is turning against margins.** Storage revenue (10.5% gross margin) grew 231% in H1'26 and FX losses weighed. Our FY26E EPS of RMB4.66 is ~9% below consensus.

Catalysts

- Q3'26 results on 24 October.
- Completion of the Hong Kong H-share listing.
- State Grid UHV/transformer tender awards and overseas orders.

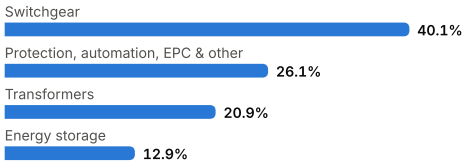
Key risks

- Storage-mix dilution and price competition in domestic tenders.
- FX and execution risk on overseas EPC projects.
- Dilution from the planned H-share issue (up to 15%).
- Upside risk: faster overseas order conversion and richer UHV/GIS mix.

Key data

Price (12 Oct 2026)	RMB120.65
Target price (12m)	RMB140.00
Implied return	+16.0%
Market cap	RMB94.4bn / US$14.1bn
Enterprise value	RMB87.7bn
Net cash	RMB7.0bn
Shares outstanding	0.78bn
52-week range	100.32 – 239.12
Performance	-22.0% YTD
Dividend yield (FY26E)	0.7%
Consensus target	RMB209.54, 12 analysts
Other listing	H-share listing (up to 15% of share capital) pending

H1'26 revenue mix by product (%)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB bn)	12.5	15.5	21.5	26.5	32.5	38.5
YoY growth	–	+24%	+39%	+23%	+23%	+18%
Gross margin	29.4%	31.1%	30.8%	29.3%	29.5%	29.8%
Net profit, attributable (RMB bn)	1.56	2.05	3.15	3.65	4.55	5.50
YoY growth	n.m.	+31%	+54%	+16%	+25%	+21%
EPS (RMB)	2.02	2.64	4.01	4.66	5.81	7.03
P/E (x)	**59.7x**	**45.7x**	**30.1x**	**25.9x**	**20.8x**	**17.2x**
DPS (RMB)	0.40	0.50	0.70	0.84	1.05	1.27
Dividend yield	0.3%	0.4%	0.6%	0.7%	0.9%	1.0%

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price.

Company background

Founded in Shanghai in 1993 by Dong Zengping, Sieyuan started in power-system test equipment and capacitors. It now offers a full T&D portfolio: high-voltage switchgear (GIS), transformers, reactors, protection and automation, reactive-power compensation (SVG/STATCOM), energy storage and EPC. It listed in Shenzhen in 2004. As a privately controlled company it competes against State Grid-affiliated SOEs. In December 2025 it announced a Hong Kong H-share listing of up to 15% of its share capital, which still awaits completion.

Business model

Sieyuan sells mainly through competitive tenders run by State Grid, China Southern Grid, power generators and industrial users, and increasingly to overseas utilities and EPC contractors (29.5% of H1'26 revenue). Revenue follows order intake with a 6–18-month lag; the 2026 target is RMB37.5bn of new orders (+30%) and RMB27bn of revenue (+25%). Switchgear (40% of H1'26 revenue) and transformers (21%) earn gross margins around or above 30%. Storage systems (13%) are a low-margin integration business. Working capital is meaningful, but the company has stayed net cash.

Competitive landscape

At home Sieyuan competes with State Grid-affiliated Pinggao and XJ Electric, China XD Electric, TBEA (transformers) and NARI (secondary equipment). Abroad it faces Hitachi Energy, Siemens Energy, GE Vernova, Schneider, HD Hyundai Electric, Hyosung and LS Electric. Its edge is breadth, delivery speed and cost. China's transformer exports rose 35% to US$9.0bn in 2025 because Western capacity could not keep up. The main pressure points are price in domestic tenders and the commoditised storage segment.

Addressable market (TAM)

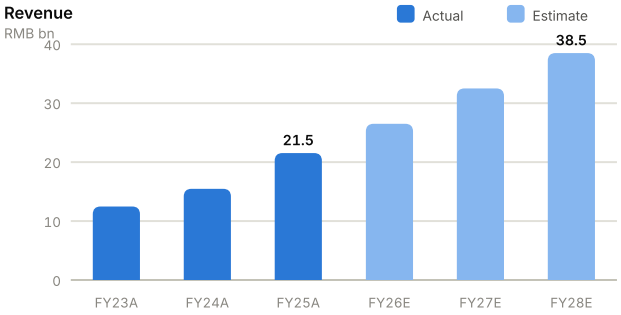
China's grid spending is at record highs: State Grid alone plans more than RMB650bn a year, and the 15th Five-Year Plan points to over RMB5tn for 2026–30. Globally, renewables integration, electrification and AI data-centre load are driving a multi-year upcycle in transformers and switchgear, with US and European lead times of two years or more. Sieyuan's FY25 revenue of RMB21.5bn is a small slice of this pool, so share gains abroad are the swing factor.

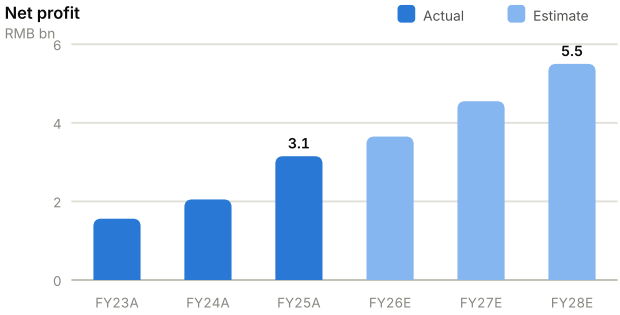
RMB5tn+
China grid investment planned for 2026–30 (source pack)

US$9.0bn
China transformer exports in 2025 (+35%)

RMB37.5bn
Sieyuan 2026 new-order target (+30%)

Financial analysis





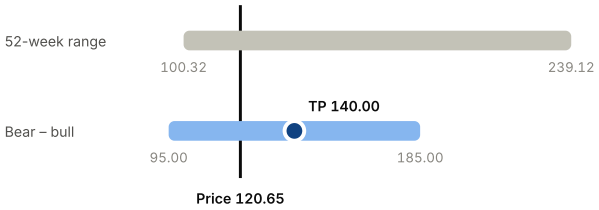
FY25 revenue rose ~39% to RMB21.5bn and net profit 54% to RMB3.15bn, with gross margin steady at 30.8%. H1'26 revenue grew 27% to RMB10.8bn but net profit only 13% to RMB1.46bn, reflecting storage mix (231% growth at a 10.5% gross margin) and FX losses. Net cash is ~RMB7bn and ROE ~23%. We forecast revenue of RMB26.5bn/32.5bn/38.5bn and net profit of RMB3.65bn/4.55bn/5.50bn for FY26–28E. We assume gross margin drifts down by about a point as storage grows.

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
GE Vernova	GEV US	47.8x	65.9x	6.3x
HD Hyundai Electric	267260 KS	18.4x	16.9x	4.6x
XJ Electric	000400 CH	16.1x	11.9x	1.1x
TBEA	600089 CH	12.3x	10.4x	1.4x
Sieyuan Electric	**002028 CH**	**20.3x**	**21.3x**	**3.7x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E).

Valuation range vs current price (RMB)



Bear (Storage dilution deepens; tender prices fall): RMB95.00. Bull (Orders beat target; overseas margins hold): RMB185.00.

Our TP of RMB140 is 24x FY27E EPS of RMB5.81. That is a premium to domestic SOE peers (XJ Electric ~16x, TBEA ~12x forward) and HD Hyundai Electric (~18x) for Sieyuan's ~25% EPS CAGR, net cash and overseas growth, but far below GE Vernova (~48x). It is close to UBS's RMB142 target; the consensus average of RMB209.5 looks stale after cuts to ratings. Bear case RMB95.00: deeper storage dilution and weaker tender pricing. Bull case RMB185: orders beat the RMB37.5bn target and overseas margins hold.

Sources: Company 2025 performance express and H1'26 report; Gawin Research; CITIC (via Futu); UBS (via MarketScreener); SCMP; StockAnalysis/S&P Global; IBKR; source pack.

04 · BATTERY, LITHIUM & STORAGE · BATTERIES

CATL 宁德时代

300750.SZ · Initiation of coverage · 12 October 2026

Buy

TP **RMB405**

Price RMB298.38 · +36%

Still the cost and technology leader; second-sourcing fears have created an entry point

CATL is the world's largest battery maker, with ~39% of the global EV battery market and a fast-growing storage business. The A-share fell 24% in September as Chinese automakers added second-source suppliers, leaving it on 12.6x FY27E P/E, or ~9.9x excluding RMB291bn of net cash. We initiate at **Buy** with a TP of RMB405 (+36% upside) on 17x FY27E EPS. We prefer the A-share to the H-share, which trades at a ~41% premium.

- **Scale and cost leadership.** CATL sold 661GWh in 2025 (+39%), ran at 95% utilisation in Q2'26 and targets 1.2TWh of 2026 production. Its ~24–25% gross margin is several points above Korean and Chinese peers.
- **Storage is the second engine.** Storage revenue grew 87.5% in H1'26 to 19% of sales on grid and AI data-centre demand; China's storage-battery sales rose 83% in the half.
- **Second-sourcing erodes share; it does not threaten the franchise.** Volumes keep growing with the market even as Li Auto, Xiaomi and Xpeng dual-source. RMB291bn of net cash funds buybacks and a ~50% payout.

Catalysts

- Q3'26 results (late October).
- Sodium-ion and next-generation LFP launches; storage order wins.
- Buyback execution; ramp-up of Hungarian and Spanish plants.

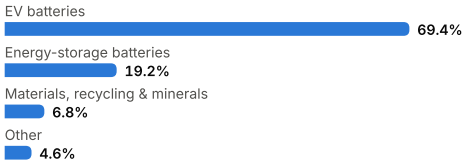
Key risks

- Customer second-sourcing and domestic price competition.
- Geopolitics: US 1260H listing, FEOC sourcing rules, EU tariffs and investment screening.
- Lithium price swings that disrupt pass-through timing.
- H-share premium could compress as new supply arrives.

Key data

Price (12 Oct 2026)	RMB298.38
Target price (12m)	RMB405.00
Implied return	+35.7%
Market cap	RMB1.40tn / US$209.1bn
Enterprise value	RMB1,140.0bn
Net cash	RMB291.2bn
Shares outstanding	4.56bn
52-week range	285.17 – 468.75
Performance	-17.5% YTD
Dividend yield (FY26E)	3.4%
Consensus target	RMB548.16, 29 analysts
Other listing	H-share 3750.HK at HK$494.80 (~41% premium to A)

H1'26 revenue mix (%)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB bn)	401	362	424	600	700	790
YoY growth	–	−10%	+17%	+42%	+17%	+13%
Gross margin	19.1%	23.8%	25.1%	24.0%	24.3%	24.5%
Net profit, attributable (RMB bn)	44.1	50.8	72.2	93.0	108	122
YoY growth	n.m.	+15%	+42%	+29%	+16%	+13%
EPS (RMB)	10.05	11.58	16.14	20.39	23.68	26.75
P/E (x)	**29.7x**	**25.8x**	**18.5x**	**14.6x**	**12.6x**	**11.2x**
DPS (RMB)	5.03	4.55	–	10.20	11.84	13.38
Dividend yield	1.7%	1.5%	–	3.4%	4.0%	4.5%

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price.

Company background

CATL (Contemporary Amperex Technology) was founded in 2011 in Ningde, Fujian by Robin Zeng (Zeng Yuqun) and a team from consumer-battery maker ATL. It listed on Shenzhen's ChiNext board in 2018. Its Hong Kong listing in May 2025 raised about HK$41bn, the year's largest global listing at the time. SNE Research ranks it the world's No.1 EV battery supplier for nine straight years. Capacity

reached 772GWh at end-2025, with another 321GWh under construction, including plants in Germany, Hungary, Spain (with Stellantis) and Indonesia.

Business model

CATL sells cells, modules and cell-to-pack systems to automakers under multi-year supply agreements. Formula pricing passes lithium and other raw-material costs through with a lag. It also sells storage cells and containerised systems to integrators and utilities, and earns revenue from lithium mining, materials and recycling (Brunp). A newer licensing model (licence, royalty and services) lets overseas OEMs build plants with CATL technology. Profitability rests on purchasing scale, manufacturing yield and R&D (RMB22bn in FY25). The product ladder spans LFP fast-charge (Shenxing), high-nickel (Qilin) and sodium-ion cells.

Competitive landscape

BYD (FinDreams) is the clear global No.2, followed by LG Energy Solution, CALB, Gotion, SK On, Panasonic and Samsung SDI. In storage, EVE, Hithium, BYD and REPT compete hard on price. Chinese automakers increasingly dual-source to gain bargaining power, which caps CATL's domestic share. Its moat is cost per kWh, quality record and breadth of chemistries. LGES's ~43x forward P/E reflects trough profits, not stronger positioning. Geopolitics is the key non-market risk: CATL is on the US Defense Department's 1260H list and exposed to US 'foreign entity of concern' sourcing rules.

Addressable market (TAM)

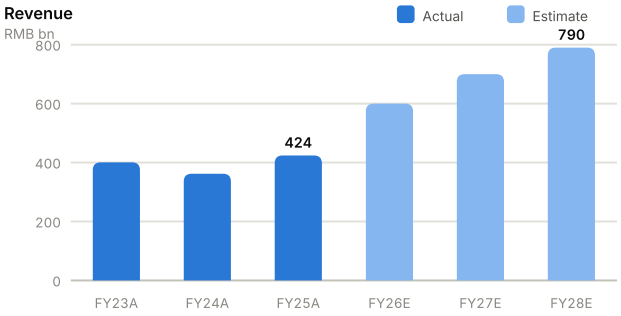
Battery demand is growing across EVs and stationary storage. China produced 1,069GWh of batteries in H1'26 (+53%) and storage-battery sales rose 83%. Industry forecasts put global demand at 4–5TWh by 2030, about twice today's level. At ~US$70–80/kWh for cells, the global market is already worth ~US$150bn a year. CATL's 661GWh in 2025 equates to roughly a third of global supply.

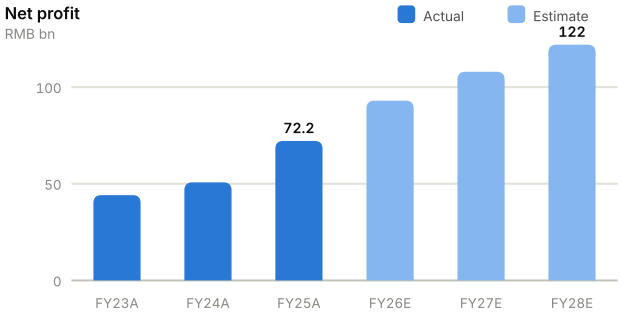
661GWh
CATL battery sales in 2025 (+39%)

39.2%
Global EV battery share in 2025 (SNE Research); No.1 for nine years

1,069GWh
China battery output in H1'26 (+53%)

Financial analysis



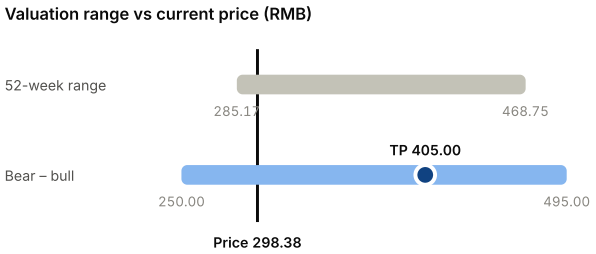


Revenue recovered 17% to RMB424bn in FY25 after the FY24 price-led dip, and net profit rose 42% to RMB72.2bn. H1'26 revenue rose 55% to RMB277bn and net profit 42% to RMB43.3bn, with gross margin down 1.1pt to 23.9% on mix. Cash generation is exceptional: FY25 operating cash flow was RMB133bn and net cash is RMB291bn (~RMB64 a share). We forecast revenue of RMB600bn/700bn/790bn and net profit of RMB93.0bn/108bn/122bn for FY26–28E, slightly below consensus (FY26E EPS RMB20.73) to allow for share loss and price competition.

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
BYD	002594 CH	15.5x	n.m.	n.m.
LG Energy Solution	373220 KS	43.1x	27.1x	4.9x
EVE Energy	300014 CH	13.0x	16.3x	1.6x
CATL	**300750 CH**	**12.6x**	**9.4x**	**2.2x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E).



Bear (Share loss to second sources; price war): RMB250.00. Bull (Storage boom; overseas share gains): RMB495.00.

Our TP of RMB405 is 17x FY27E EPS of RMB23.68, below CATL's five-year average but above BYD (~15.5x) and EVE (~13x) forward, reflecting superior margins and ~25% ROE. Ex-cash, the stock trades on ~9.9x FY27E. The consensus average target of RMB548 (29 analysts, all Buy-rated) predates the September sell-off. For the H-share (3750.HK), a 20% premium to our A-share TP implies ~HK$570, only ~15% upside, so we prefer the A-share. Bear case RMB250: share loss and a price war. Bull case RMB495: storage boom and overseas share gains.

Sources: CATL 2025 annual and H1'26 interim reports; SNE Research; Longbridge; Seoul Economic Daily; JPMorgan/CLSA (via Tiger); StockAnalysis/S&P Global; IBKR; source pack.

05 · BATTERY, LITHIUM & STORAGE · SOLAR & STORAGE EQUIPMENT

Sungrow Power 阳光电源

300274.SZ · Initiation of coverage · 12 October 2026

Hold

TP **RMB95.00**

Price RMB82.35 · +15%

Margins are recovering; revenue has to follow before we turn constructive

Sungrow is the world's No.2 solar-inverter maker and a top-tier storage integrator; storage is now half of revenue and 73% of sales are overseas. H1'26 revenue fell 29% on domestic solar weakness and lower shipments, yet gross margin rose to 35.9%. At 11.7x FY27E P/E with net cash the stock is inexpensive, but we want evidence of an H2 storage ramp. We initiate at **Hold**, TP RMB95.00 (+15% upside).

- **Storage has overtaken inverters.** Storage shipments rose 54% to 43GWh in 2025 and made up ~50% of H1'26 revenue, with demand from utility-scale, C&I and data-centre projects.
- **Margins are the bright spot.** Gross margin reached 35.9% in H1'26 and 38.6% in Q2 on overseas mix and cheaper cells; price increases of 5–15% took effect from 20 September.
- **The top line is the open question.** H1'26 revenue fell 29%, and our FY26E EPS of RMB5.97 is ~13% below consensus. Q3 results (30 October) need to show storage deliveries accelerating.

Catalysts

- Q3'26 results on 30 October.
- Storage order announcements and shipment data.
- H-share listing; data-centre power products.

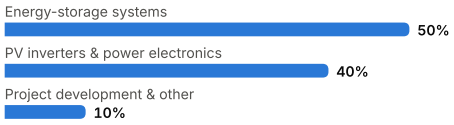
Key risks

- Price war among Chinese storage integrators.
- US tariffs and foreign-entity-of-concern sourcing rules.
- Domestic solar demand and FX losses.
- Dilution from the H-share listing.

Key data

Price (12 Oct 2026)	RMB82.35
Target price (12m)	RMB95.00
Implied return	+15.4%
Market cap	RMB169.7bn / US$25.3bn
Enterprise value	RMB144.7bn
Net cash	RMB28.1bn
Shares outstanding	2.06bn
52-week range	78.00 – 208.88
Performance	-51.8% YTD
Dividend yield (FY26E)	1.8%
Consensus target	RMB146.50, 20 analysts
Other listing	Hong Kong H-share IPO filed (refiled April 2026)

H1'26 revenue mix (%)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB bn)	72.2	77.9	89.2	82.0	98.0	112
YoY growth	–	+8%	+15%	−8%	+20%	+14%
Gross margin	25.5%	29.1%	30.5%	34.5%	33.0%	32.5%
Net profit, attributable (RMB bn)	9.44	11.0	13.5	12.3	14.5	16.3
YoY growth	n.m.	+17%	+22%	−9%	+18%	+12%
EPS (RMB)	4.55	5.32	6.53	5.97	7.04	7.91
P/E (x)	**18.1x**	**15.5x**	**12.6x**	**13.8x**	**11.7x**	**10.4x**
DPS (RMB)	0.69	1.08	1.64	1.49	1.76	1.98
Dividend yield	0.8%	1.3%	2.0%	1.8%	2.1%	2.4%

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price.

Company background

Sungrow was founded in 1997 in Hefei, Anhui by Cao Renxian, then a lecturer at Hefei University of Technology, to make power electronics for renewables. It listed on Shenzhen's ChiNext board in 2011. Wood Mackenzie ranks it a global top-two solar-inverter supplier alongside Huawei, and cumulative storage shipments passed 93GWh by end-2025. It also develops solar and storage projects in China and makes EV drives and hydrogen electrolysers. A Hong Kong H-share listing was filed in 2025 and refiled in April 2026.

Business model

Sungrow designs and assembles power-conversion equipment: string and central inverters for utility, commercial and residential solar. It also sells integrated battery-storage systems (PowerTitan, PowerStack), buying cells from suppliers such as CATL and EVE and adding power conversion, battery management, thermal and energy-management systems. Value comes from power electronics, integration, bankability and long-term service. Cells are largely a pass-through cost, so falling cell prices support margins. A smaller arm builds and sells solar and storage plants, and the company is moving into data-centre power (solid-state transformers, HVDC).

Competitive landscape

In inverters, Huawei is No.1 and Sungrow No.2, followed by Ginlong (Solis), GoodWe, Sineng, SMA, Enphase and SolarEdge. In storage integration, Tesla (Megapack) leads; Sungrow sits in the top tier with BYD, Fluence, Hithium, Envision and CATL's own systems, and price competition from Chinese integrators is fierce. Sungrow's strengths are a two-decade overseas channel, bankability with utilities and in-house power electronics. Its weaknesses are reliance on bought-in cells and limited access to the US given tariffs and sourcing rules.

Addressable market (TAM)

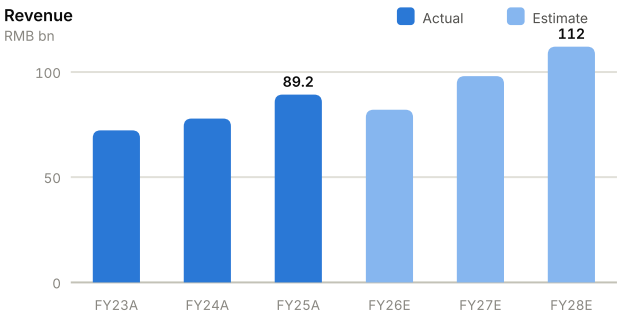
Stationary storage is the growth market. China's storage-battery sales rose 83% in H1'26, and grid-scale deployments are accelerating worldwide as solar penetration, grid congestion and data-centre load rise. The solar-inverter market is larger but more mature. China's domestic installations have weakened since the 2025 shift to market-based renewable pricing. With ~43GWh of 2025 storage shipments and ~25% of inverter volumes, Sungrow already holds a sizeable slice of both pools.

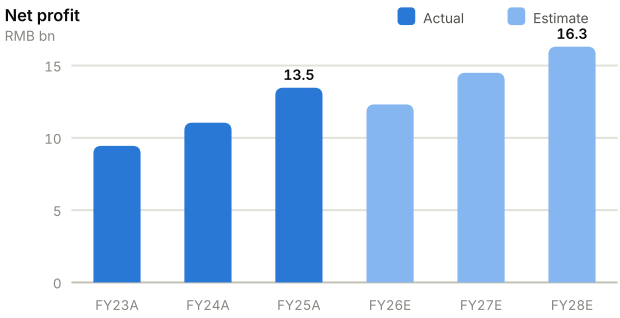
43GWh
Sungrow storage shipments in 2025 (+54%)

~25%
Sungrow share of global PV inverter shipments (2024 volumes)

73%
Overseas share of H1'26 revenue

Financial analysis



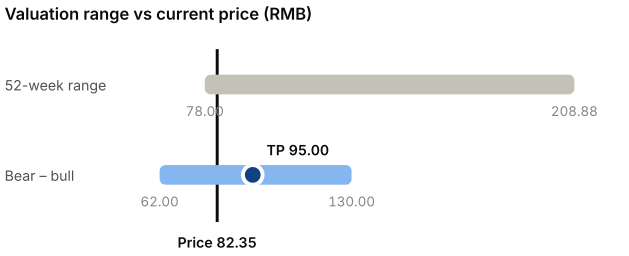


FY25 revenue grew 14.6% to RMB89.2bn and net profit 22% to RMB13.5bn. Q4'25 profit more than halved, however, on a RMB1bn incentive provision and delivery timing. H1'26 revenue fell 29% to RMB30.9bn and net profit 32% to RMB5.3bn, hit by domestic solar weakness, lower shipments and FX losses, even as gross margin rose to 35.9%. Net cash is ~RMB28bn and ROE ~22%. We forecast revenue of RMB82.0bn/98.0bn/112bn and net profit of RMB12.3bn/14.5bn/16.3bn for FY26–28E, assuming H2'26 revenue grows ~12% YoY.

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
Ginlong (Solis)	300763 CH	14.9x	15.5x	3.7x
Enphase Energy	ENPH US	16.7x	20.9x	3.0x
Fluence Energy	FLNC US	n.m.	n.m.	0.6x
Sungrow Power	**300274 CH**	**11.3x**	**10.0x**	**1.9x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E).



Bear (Storage price war; US access closes): RMB62.00. Bull (H2 storage ramp; margins hold): RMB130.00.

Our TP of RMB95.00 is 13.5x FY27E EPS of RMB7.04, a modest discount to Ginlong (~15x) and Enphase (~17x) forward to reflect the revenue decline. The stock is down 52% YTD and trades on 11.7x FY27E, so downside is partly cushioned. We would turn more positive on evidence of H2 storage deliveries and order growth. The consensus average target is RMB146.5 (20 analysts). Bear case RMB62.00: storage price war and US access closes. Bull case RMB130: H2 ramp and margins hold.

Sources: Company 2025 annual and H1'26 reports; pv magazine; Energy-Storage.news; Wood Mackenzie; Bloomberg; Simply Wall St; StockAnalysis/S&P Global; IBKR; source pack.

06 · BATTERY, LITHIUM & STORAGE · BATTERY MATERIALS & METALS

Huayou Cobalt 华友钴业

603799.SH · Initiation of coverage · 12 October 2026

Hold

TP RMB38.50

Price RMB34.53 · +11%

Cheap for a reason: the integration is real, but earnings quality has slipped

Huayou is an integrated nickel, cobalt, lithium and battery-materials group, spanning Indonesian and African mining through refining to precursors and cathodes. The shares are down 49% YTD after Q2 profit fell 31% and consensus FY26 EPS was cut by a third. At 9.4x FY27E P/E and ~1x book the valuation is undemanding, but leverage and commodity headwinds keep us at **Hold**, TP RMB38.50 (+11% upside).

- **Integration is a genuine cost advantage.** Low-cost Indonesian HPAL nickel (~300ktpa including Pomalaa) feeds precursor and cathode plants; cathode and precursor shipments nearly doubled in H1'26.
- **Earnings quality weakened in Q2.** Sulfur-cost spikes forced maintenance at Huafei, cobalt shipments fell 24% under DRC export quotas, and Q2 net profit fell 31% YoY to ~RMB1.0bn.
- **The balance sheet limits flexibility.** Net debt of ~RMB54bn (~3x TTM EBITDA) and the Atlantic Lithium acquisition add risk as nickel and lithium prices soften.

Catalysts

- Q3'26 results on 24 October: is upstream nickel recovering?
- Pomalaa ramp-up and Huafei restart.
- Buyback completion; Atlantic Lithium deal terms.

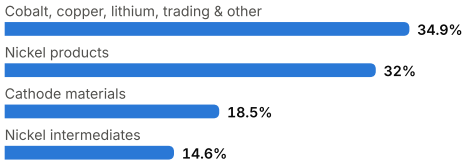
Key risks

- Nickel oversupply from Indonesian capacity additions.
- Indonesian policy (ore quotas, royalties) and DRC cobalt export quotas.
- Input costs (sulfur, sulfuric acid) and high leverage.
- LFP substituting for nickel-based cathodes.

Key data

Price (12 Oct 2026)	RMB34.53
Target price (12m)	RMB38.50
Implied return	+11.5%
Market cap	RMB65.4bn / US$9.8bn
Enterprise value	RMB134.7bn
Net debt	RMB53.8bn
Shares outstanding	1.90bn
52-week range	33.89 – 82.17
Performance	-49.4% YTD
Dividend yield (FY26E)	1.5%
Consensus target	RMB61.06, 6 analysts
Other listing	A-share only

FY25 revenue mix by product (%)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB bn)	66.3	61.0	81.0	106	118	128
YoY growth	–	−8%	+33%	+31%	+11%	+8%
Gross margin	13.6%	16.7%	17.4%	18.0%	18.5%	18.8%
Net profit, attributable (RMB bn)	3.35	4.16	6.11	5.90	7.00	8.00
YoY growth	n.m.	+24%	+47%	−3%	+19%	+14%
EPS (RMB)	2.05	2.39	3.33	3.11	3.68	4.21
P/E (x)	**16.8x**	**14.4x**	**10.4x**	**11.1x**	**9.4x**	**8.2x**
DPS (RMB)	1.00	0.50	0.50	0.53	0.63	0.72
Dividend yield	2.9%	1.4%	1.4%	1.5%	1.8%	2.1%

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price.

Company background

Founded in 2002 in Tongxiang, Zhejiang by Chen Xuehua, Huayou began as a cobalt refiner buying ore from the Democratic Republic of Congo and listed in Shanghai in 2015. Over the past decade it has built a vertically integrated chain: DRC cobalt-copper mining, and Indonesian laterite nickel processed by high-pressure acid leaching (HPAL) with partners Tsingshan, Vale and Ford. It also owns lithium in Zimbabwe (Arcadia), precursor and cathode plants in China and abroad (including joint ventures with Korean materials makers), and battery recycling.

Business model

Huayou earns a margin at each step of the chain. The main profit pool is mining and HPAL refining, where it produces mixed hydroxide precipitate at low cash cost. Next come refined nickel and cobalt products, and processing fees on precursors and cathodes sold to battery makers. Integration lowers cost and secures supply, but it ties results to nickel, cobalt and lithium prices and to inputs such as sulfur and sulfuric acid. Growth comes from new Indonesian capacity (Pomalaa, 120ktpa), lithium, and cathode volumes for Korean and Chinese cell makers.

Competitive landscape

In Indonesian nickel, Huayou competes with Tsingshan, Nickel Industries, Harita (Lygend), GEM and CNGR. In cobalt its rivals are CMOC (the world's largest producer) and Glencore; in precursors and cathodes, CNGR, GEM, Ronbay and Easpring. The structural problem is chemistry: lithium iron phosphate (LFP) now accounts for about 80% of China's EV battery installations. That limits growth in nickel-based cathodes outside premium and overseas models. Huayou wins on cost position and customer relationships but is capital-intensive.

Addressable market (TAM)

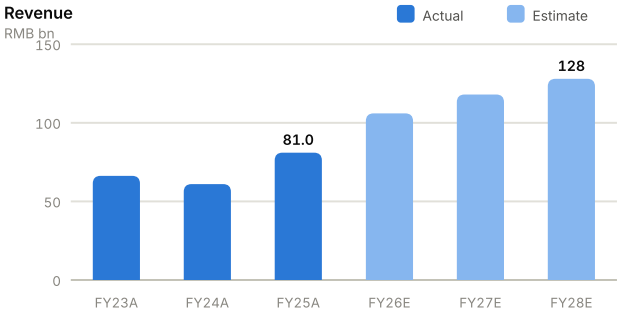
The global nickel market is ~3.5–3.7Mt a year, with Indonesia supplying more than half. Argus expects Indonesian MHP capacity to nearly double to 862ktpa in 2026, which points to continued oversupply. Cobalt (~250–300kt a year) is tighter because of DRC export quotas. Battery-materials demand grows with EVs and storage, but nickel's share is shrinking as LFP dominates in China.

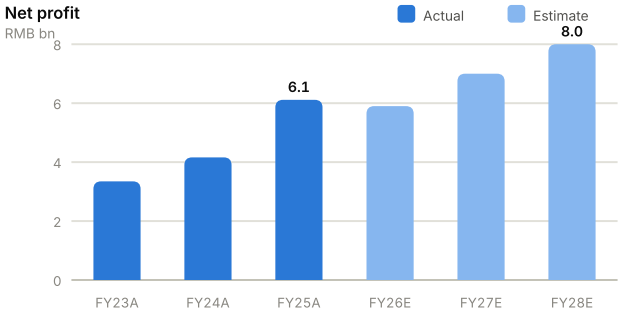
~300ktpa
Huayou Indonesian HPAL nickel capacity incl. Pomalaa (Ni in MHP)

862ktpa
Indonesian MHP capacity expected in 2026, nearly double 2025 (Argus)

~80%
LFP share of China EV battery installations, a headwind for nickel cathodes

Financial analysis





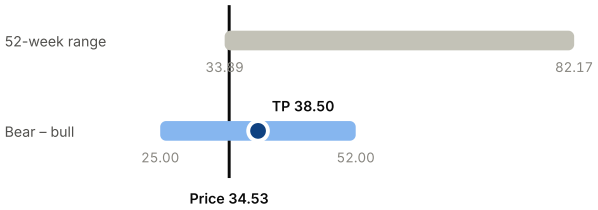
FY25 revenue rose 33% to RMB81.0bn and net profit 47% to RMB6.1bn as Indonesian volumes ramped. H1'26 revenue rose 49% to RMB55.6bn and net profit 29% to RMB3.5bn, but the quarterly split matters: Q1 earned RMB2.5bn (+99%) and Q2 only ~RMB1.0bn (−31%). Gross margin has improved from 13.6% (FY23) to ~19% TTM. Net debt of ~RMB54bn is large against a ~RMB65bn market cap, though a 0.8% buyback is under way. We forecast net profit of RMB5.90bn/7.00bn/8.00bn for FY26–28E, in line with the reduced consensus (FY26E EPS RMB3.06).

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
CMOC Group	603993 CH	11.0x	6.0x	1.5x
GEM	002340 CH	13.4x	10.6x	1.7x
CNGR Advanced Material	300919 CH	18.0x	9.1x	1.1x
Huayou Cobalt	**603799 CH**	**8.8x**	**7.4x**	**1.4x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E).

Valuation range vs current price (RMB)



Bear (Nickel oversupply; sulfur costs persist): RMB25.00. Bull (Pomalaa ramps smoothly; cobalt stays tight): RMB52.00.

Our TP of RMB38.50 is 10.5x FY27E EPS of RMB3.68, a discount to CMOC (~11x) and GEM (~13x) forward for higher leverage and weaker earnings momentum. On EV/EBITDA the stock already trades at ~7.4x TTM, between CMOC (~6x) and GEM (~11x). The consensus average target (RMB61) has not caught up with the estimate cuts. Bear case RMB25.00: nickel oversupply and sulfur costs persist. Bull case RMB52.00: Pomalaa ramps smoothly and cobalt stays tight.

Sources: Company FY25 and H1'26 results; Stock Analysis; Simply Wall St; SMM; Argus; Project Blue; StockAnalysis/S&P Global; IBKR; source pack.

07 · BATTERY, LITHIUM & STORAGE · LITHIUM

Tianqi Lithium 天齐锂业

9696.HK · Initiation of coverage · 12 October 2026

Hold

TP HK$30.00

Price HK$25.92 · +16%

A world-class asset in a commodity-price trade; the H-share discount is the cushion

Tianqi owns about a quarter of Greenbushes, the world's largest and highest-grade hard-rock lithium mine, plus ~22% of Chile's SQM. H1'26 profit rebounded to RMB4.2bn on higher lithium prices, but lithium carbonate fell 24% in September and supply is set to grow ~28% in 2026. The H-share trades on only 7.8x FY27E P/E, a ~44% discount to the A-share. We initiate at **Hold** with a TP of HK$30.00 (+16% upside).

- **Bottom-quartile cost position.** Greenbushes delivered a 74% mining gross margin in H1'26 and generates cash even at much lower lithium prices.
- **Operating leverage cuts both ways.** Revenue rose 154% and profit swung from RMB87m to RMB4.2bn in H1'26; we expect FY27E EPS to fall ~26% as prices normalise.
- **The H-share has a valuation cushion.** At ~0.6x book and 7.8x FY27E P/E it discounts a lot of bad news; the A-share (~14x FY27E) looks fuller.

Catalysts

- Q3'26 results on 26 October.
- Greenbushes CGP3 restart and Kwinana fixes.
- Chinese inventory data and GFEX lithium futures.

Key risks

- Lithium price: each RMB10k/t moves annual net profit by roughly RMB0.7–0.9bn (our estimate).
- Greenbushes operations (CGP3 fire in June) and Kwinana under-performance.
- SQM/Codelco outcome and Chilean policy.
- Upside risk: supply discipline or a demand surprise reverses the price slide.

Key data

Price (12 Oct 2026)	HK$25.92
Target price (12m)	HK$30.00
Implied return	+15.7%
Market cap	RMB63.1bn (A+H) / US$9.4bn
Enterprise value	RMB79.9bn
Net debt	RMB5.7bn
Shares outstanding	1.70bn
52-week range	25.92 – 69.15
Performance	-50.8% YTD
Dividend yield (FY26E)	0.0%
Consensus target	RMB64.20 (A-share), 17 analysts
Other listing	A-share 002466.SZ at RMB39.23 (H at ~44% discount)

H1'26 revenue mix (%)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB bn)	40.5	13.1	10.3	23.0	21.0	22.5
YoY growth	–	-68%	-21%	+122%	-9%	+7%
Gross margin	83.2%	40.6%	36.6%	58.0%	52.0%	52.0%
Net profit, attributable (RMB bn)	7.30	(7.91)	0.46	6.50	4.80	5.20
YoY growth	n.m.	-208%	n.m.	+1313%	-26%	+8%
EPS (RMB)	4.45	(4.82)	0.28	3.82	2.82	3.06
P/E on H-share price (x)	**5.0x**	**n.m.**	**79.0x**	**5.8x**	**7.8x**	**7.2x**
DPS (RMB)	1.35	0.00	0.00	0.00	0.30	0.40
Dividend yield	6.1%	0.0%	0.0%	0.0%	1.4%	1.8%

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price, converted at HK$1 = RMB0.853.

Company background

Tianqi traces its roots to a state-owned lithium-salt plant founded in Shehong, Sichuan in 1992 and privatised under chairman Jiang Weiping in 2004. It listed in Shenzhen in 2010 and in Hong Kong in July 2022. Its 51%-owned joint venture with IGO holds 51% of Greenbushes owner Talison (Albemarle holds 49%), giving Tianqi a ~26% effective interest in the Western Australian mine. It also owns ~22% of SQM in Chile, the Kwinana lithium hydroxide plant (with IGO) and conversion plants in Sichuan and Jiangsu.

Business model

Tianqi is a vertically integrated lithium producer. It buys spodumene concentrate from Greenbushes at market-linked prices, sells part of it as concentrate (42% of H1'26 revenue) and converts the rest into lithium carbonate and hydroxide in China (58%). Its share of Greenbushes mining profit and equity income from SQM drive earnings. Results swing hard with lithium prices. Lags between concentrate purchases and chemical sales have caused large inventory write-downs in past downturns (FY24 loss of RMB7.9bn). The Kwinana hydroxide plant ran at ~15% of nameplate in the June quarter.

Competitive landscape

Hard-rock peers include Albemarle (Tianqi's Greenbushes partner), Pilbara Minerals, Mineral Resources and Rio Tinto (via Arcadium). Brine peers include SQM; Chinese peers include Ganfeng, Zangge, Yahua, Sinomine and CATL's lepidolite operations. Greenbushes sits at the bottom of the cost curve, so Tianqi is a price-taker with a durable cost edge. Its weak spots are downstream conversion (Kwinana) and Chile, where the Supreme Court dismissed its challenge to SQM's partnership with Codelco.

Addressable market (TAM)

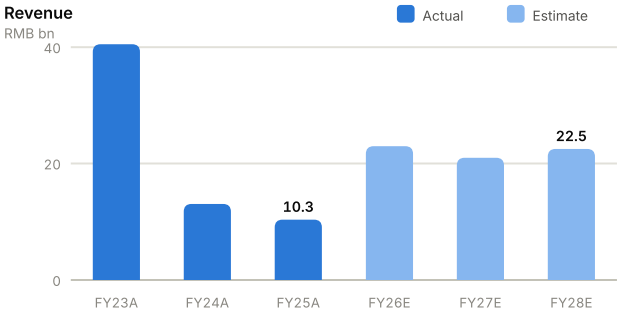
Lithium demand comes from EV and storage batteries: about 1.5Mt LCE in 2026 on our estimates, growing 20–25% a year. Supply is growing faster. Wood Mackenzie forecasts +27.9% in 2026 as African and Chinese projects ramp, and a revised SMM inventory method added ~175kt to Chinese stock estimates in September. China spot carbonate was RMB122,350/t on 9 October, up 66% YoY but down 24% in September.

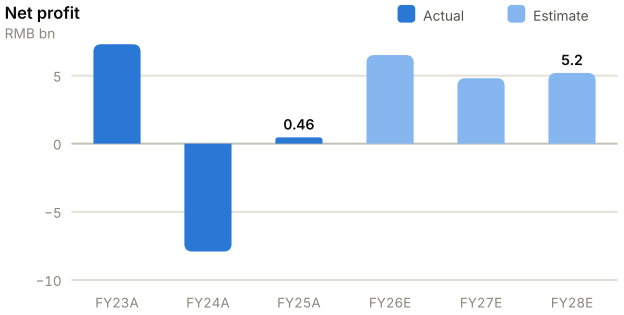
~26%
Tianqi's effective stake in Greenbushes, the largest hard-rock lithium mine

RMB122k/t
China lithium carbonate, 9 Oct 2026 (+66% YoY, −24% in Sept)

+28%
2026 global lithium supply growth (Wood Mackenzie)

Financial analysis





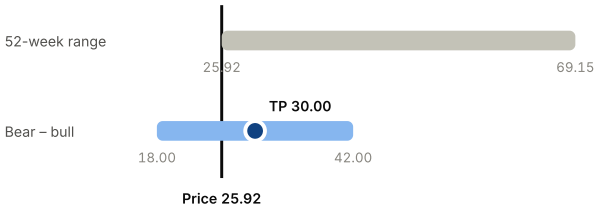
Revenue collapsed from RMB40.5bn (FY23) to RMB10.3bn (FY25) as prices fell, with a RMB7.9bn loss in FY24 and a small profit in FY25. H1'26 revenue rose 154% to RMB12.2bn and net profit reached RMB4.2bn (vs RMB87m). Net debt is modest at ~RMB5.7bn after a 2026 H-share placement and convertible bond. We forecast net profit of RMB6.50bn/4.80bn/5.20bn for FY26–28E, assuming lithium carbonate averages ~RMB130k/t in 2026 and ~RMB110k/t in 2027. That is well below the broker forecasts in the source pack (RMB7.6bn/9.3bn).

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
Albemarle	ALB US	10.9x	8.3x	2.1x
SQM	SQM US	8.2x	6.4x	2.9x
Pilbara Minerals	PLS AU	11.5x	9.4x	5.3x
Ganfeng Lithium (A)	002460 CH	13.3x	12.9x	3.0x
Tianqi (A-share)	**9696 HK**	**10.1x**	**7.8x**	**4.5x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E).

Valuation range vs current price (HK$)



Bear (Lithium carbonate ~RMB80k/t): HK$18.00. Bull (Lithium carbonate ~RMB160k/t): HK$42.00.

Our TP of HK$30.00 is 9x FY27E EPS of RMB2.82 (at HK$1 = RMB0.853), in line with SQM (~8x) and below Albemarle and Pilbara (~11x forward), to reflect conversion-asset risk. Even at the TP the H-share is only ~0.7x book. The A-share consensus target is RMB64.2, and a broker H-share target in the source pack is HK$49.42; both assume higher prices than we do. Bear case HK$18.00: carbonate ~RMB80k/t. Bull case HK$42.00: ~RMB160k/t.

Sources: Company H1'26 HKEX results; IGO ASX quarterlies; Wood Mackenzie; Trading Economics/SMM; StockAnalysis/S&P Global; IBKR; source pack (Futu broker forecasts).

08 · BATTERY, LITHIUM & STORAGE · LITHIUM & BATTERIES

Ganfeng Lithium 赣锋锂业

1772.HK · Initiation of coverage · 12 October 2026

Hold

TP HK$31.50

Price HK$27.96 · +13%

More diversified than Tianqi, but management's own price view caps the upside

Ganfeng is China's most diversified lithium group: chemicals from mines in Australia, Argentina and Mali, plus a fast-growing battery business. H1'26 revenue rose 177% and profit swung to RMB4.3bn, but management now expects only a balanced market in 2027 and net debt is rising. The H-share trades on 8.9x FY27E P/E at a ~45% discount to the A-share. We initiate at **Hold**, TP HK$31.50 (+13% upside).

- **The diversification is real.** Batteries (consumer, storage and power; ~20GWh in H1'26) were 34% of revenue, cushioning lithium-price swings, and 400–500Wh/kg solid-state cells are entering small-batch production.
- **The resource ramp lifts self-sufficiency.** Goulamina (Mali) and Mariana/Cauchari-Olaroz (Argentina) are ramping, which cuts third-party concentrate purchases.
- **But the cycle is turning.** Management has dropped its earlier >RMB200k/t price view and now expects a balanced 2027 with 20–25% supply growth; we model FY27E EPS down ~20%.

Catalysts

- Q3'26 results (mid-October).
- Goulamina and Mariana ramp-up data.
- Solid-state battery customer orders.

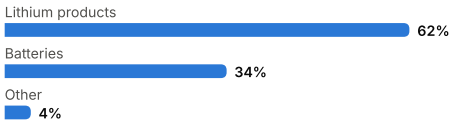
Key risks

- Lithium prices and rising leverage.
- Political and fiscal risk in Mali, Argentina and Mexico.
- Battery price competition.
- Upside: faster solid-state commercialisation or industry supply cuts.

Key data

Price (12 Oct 2026)	HK$27.96
Target price (12m)	HK$31.50
Implied return	+12.7%
Market cap	RMB81.5bn (A+H) / US$12.2bn
Enterprise value	RMB115.2bn
Net debt	RMB27.1bn
Shares outstanding	2.08bn
52-week range	27.96 – 91.20
Performance	-48.8% YTD
Dividend yield (FY26E)	1.3%
Consensus target	RMB77.92 (A-share), 20 analysts
Other listing	A-share 002460.SZ at RMB43.68 (H at ~45% discount)

H1'26 revenue mix (%)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB bn)	33.0	18.9	23.1	46.0	48.0	54.0
YoY growth	–	−43%	+22%	+99%	+4%	+12%
Gross margin	8.7%	9.0%	14.6%	27.0%	24.0%	24.0%
Net profit, attributable (RMB bn)	4.95	(2.07)	1.61	7.00	5.60	6.40
YoY growth	n.m.	−142%	n.m.	+335%	−20%	+14%
EPS (RMB)	2.46	(1.03)	0.79	3.37	2.69	3.08
P/E on H-share price (x)	**9.7x**	**n.m.**	**30.2x**	**7.1x**	**8.9x**	**7.8x**
DPS (RMB)	0.80	0.15	0.15	0.30	0.30	0.35
Dividend yield	3.4%	0.6%	0.6%	1.3%	1.3%	1.5%

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price, converted at HK$1 = RMB0.853.

Company background

Ganfeng was founded in 2000 in Xinyu, Jiangxi by Li Liangbin (chairman) and Wang Xiaoshen. It began in lithium metal and compounds and listed in Shenzhen in 2010 and Hong Kong in 2018. It is the world's largest lithium-metal producer and one of the largest lithium-chemical producers. Its resources include Mt Marion (Australia, with Mineral Resources), Cauchari-Olaroz and Mariana (Argentina), Goulamina (Mali), and Chinese lepidolite and brine. Its subsidiary Ganfeng LiEnergy makes consumer, power and storage batteries and is developing solid-state technology.

Business model

The lithium business buys and mines spodumene, brine and lepidolite and converts them into carbonate, hydroxide and metal for battery and industrial customers. It earns a conversion margin plus a mining margin on its own resources, so profit depends on lithium prices and the share of feedstock it mines itself. The battery business sells cells, packs and 5MWh storage cabins. It earns lower margins but sees steadier demand, and it gives Ganfeng a captive outlet for lithium. Recycling and solid-state electrolyte materials (lithium sulfide) add optionality.

Competitive landscape

In lithium chemicals Ganfeng competes with Tianqi, Albemarle, SQM, Rio Tinto (Arcadium), Yahua and Zangge; in batteries, with CATL, BYD, EVE and Gotion for storage and consumer cells. Against Tianqi, its edge is diversification and a global resource portfolio; against pure battery makers, upstream integration. Its weakness relative to Greenbushes-backed Tianqi is a higher-cost, more geopolitically exposed resource base (Mali, Argentina, Mexico).

Addressable market (TAM)

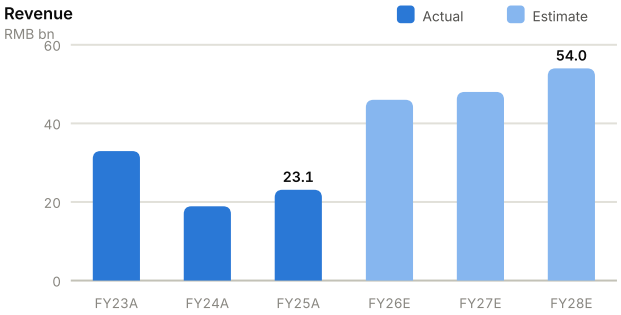
Ganfeng shares Tianqi's lithium market: ~1.5Mt LCE of demand in 2026 on our estimates, growing 20–25% a year, with supply growing faster near term. The battery arm addresses storage and consumer cells, and China's storage-battery sales rose 83% in H1'26. Solid-state batteries are a longer-dated option for premium EVs, eVTOLs and robots.

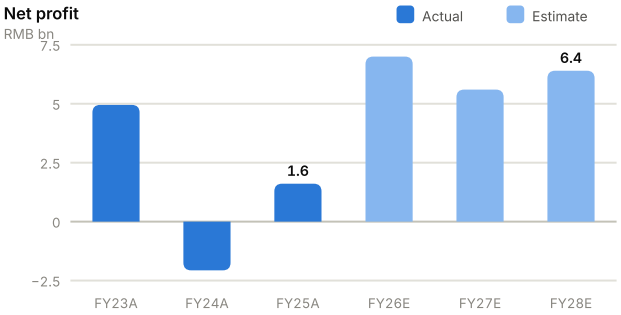
~20GWh
Ganfeng battery output in H1'26 (RMB7.8bn revenue)

+20–25%
Supply growth management expects into a 'balanced' 2027

500Wh/kg
Solid-state cells in small-batch production (May 2026)

Financial analysis



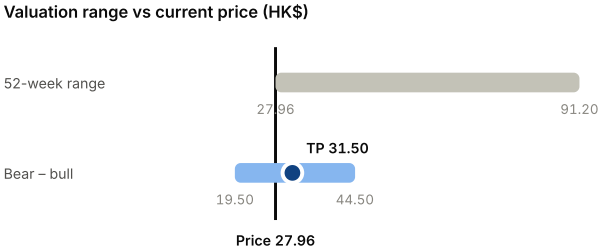


Revenue fell from RMB33.0bn (FY23) to RMB18.9bn (FY24), with a RMB2.1bn loss, before recovering to RMB23.1bn and a RMB1.6bn profit in FY25. H1'26 revenue rose 177% to RMB22.9bn, with a 31.2% gross margin and RMB4.3bn of net profit. Net debt has risen to ~RMB27bn on capex in Mali and Argentina. We forecast net profit of RMB7.00bn/5.60bn/6.40bn for FY26–28E, below UOB's RMB9.2bn for FY26E, on lower H2 lithium prices.

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
Albemarle	ALB US	10.9x	8.3x	2.1x
SQM	SQM US	8.2x	6.4x	2.9x
Pilbara Minerals	PLS AU	11.5x	9.4x	5.3x
Tianqi Lithium (A)	002466 CH	10.1x	7.8x	4.5x
Ganfeng (A-share)	**1772 HK**	**13.3x**	**12.9x**	**3.0x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E).



Bear (Lithium carbonate ~RMB80k/t): HK$19.50. Bull (~RMB160k/t plus solid-state traction): HK$44.50.

Our TP of HK$31.50 is 10x FY27E EPS of RMB2.69: a small premium to our Tianqi multiple for diversification, and in line with Albemarle (~11x) and Pilbara (~11.5x) forward. It implies ~0.9x book for the H-share. UOB's HK$75 target and the A-share consensus (RMB77.9) both embed higher lithium prices. Bear case HK$19.50: carbonate ~RMB80k/t. Bull case HK$44.50: ~RMB160k/t plus solid-state traction.

Sources: Company H1'26 interim report; UOB Kay Hian; CnEVPost/CarNewsChina; Tiger Brokers; StockAnalysis/S&P Global; IBKR; source pack.

09 · SEMICONDUCTORS & MATERIALS · SEMICONDUCTORS

GigaDevice 兆易创新

603986.SH · Initiation of coverage · 12 October 2026

Hold

TP RMB360

Price RMB310.84 · +16%

Exceptional earnings, but we would be paying for the top of the memory cycle

GigaDevice is China's leading fabless designer of NOR flash, niche DRAM and microcontrollers. A memory shortage, as global majors divert capacity to HBM and DDR5, lifted H1'26 net profit twelve-fold to RMB6.9bn. The shares are already ~63% below their high and 16.2x FY26E P/E is undemanding, but earnings are near a cyclical peak. We initiate at **Hold**, TP RMB360 (+16% upside).

- **A genuine supply shortage.** Leading memory makers are exiting legacy NOR, SLC NAND and DDR4 to chase HBM/DDR5. TrendForce sees high-capacity NOR prices rising another 90–110% in H2'26, and mid-year backlog was RMB9.8bn.
- **Extreme operating leverage.** Memory gross margin jumped to 67.6% from 42.8% in FY25; TTM group gross margin is 56%.
- **Durability and quality matter.** More than RMB2bn of H1 profit came from fair-value gains, and we expect earnings to fall in FY28E as new capacity arrives, so we value on a cycle-adjusted 18x FY27E P/E.

Catalysts

- Q3'26 results on 30 October.
- Monthly NOR/DRAM contract prices (TrendForce).
- Index inclusion of the H-share; MCU recovery.

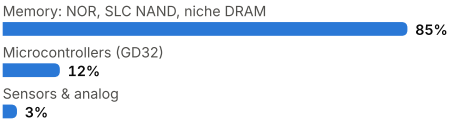
Key risks

- Memory price reversal as new capacity arrives (peak-cycle risk).
- Volatile fair-value gains on equity holdings.
- Dependence on CXMT and escalation of US export controls.
- Sentiment swings, e.g. September reports that Beijing may allow Nvidia chip purchases.

Key data

Price (12 Oct 2026)	RMB310.84
Target price (12m)	RMB360.00
Implied return	+15.8%
Market cap	RMB218.5bn / US$32.6bn
Enterprise value	RMB201.4bn
Net cash	RMB17.4bn
Shares outstanding	0.70bn
52-week range	176.00 – 846.66
Performance	+44.3% YTD
Dividend yield (FY26E)	1.2%
Consensus target	RMB631.74, 11 analysts
Other listing	H-share 3986.HK at HK$375.60 (~3% premium to A)

Revenue mix by product (%, approx.)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB bn)	5.76	7.36	9.20	27.0	31.0	26.0
YoY growth	–	+28%	+25%	+193%	+15%	−16%
Gross margin	30.3%	35.7%	39.1%	55.0%	56.0%	48.0%
Net profit, attributable (RMB bn)	0.16	1.10	1.65	13.5	14.0	10.0
YoY growth	n.m.	+588%	+50%	+718%	+4%	−29%
EPS (RMB)	0.24	1.66	2.47	19.24	19.95	14.25
P/E (x)	**n.m.**	**187x**	**126x**	**16.2x**	**15.6x**	**21.8x**
DPS (RMB)	0.00	0.34	0.75	3.85	3.99	2.85
Dividend yield	0.0%	0.1%	0.2%	1.2%	1.3%	0.9%

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price.

Company background

GigaDevice was founded in Beijing in 2005 by Zhu Yiming, who also founded DRAM maker ChangXin Memory (CXMT). It listed in Shanghai in 2016 and added a Hong Kong H-share listing in early 2026. It started in serial NOR flash, launched GD32 Arm-based microcontrollers in 2013, and later added sensors (via the Silead acquisition) and analog chips. Through a partnership with CXMT it sells niche DRAM under its own brand. It is the world's No.2 NOR flash supplier behind Winbond, with ~18% share.

Business model

GigaDevice is fabless: it designs chips and outsources wafer fabrication (to foundries such as SMIC and Hua Hong, and to CXMT for DRAM). It sells through distributors and directly to consumer, industrial, auto, PC/server and communications customers. Memory (~85% of revenue) is a price-taker business with high operating leverage: costs are mostly wafer purchases and R&D, so price rises drop straight to profit. MCUs (~12%) are stickier design-win products with long life cycles. AI servers, AI PCs and edge devices raise both NOR density and unit demand.

Competitive landscape

In NOR flash the main rivals are Winbond, Macronix, Puya, XMC and ISSI; in SLC NAND, Kioxia, Winbond and Macronix; in niche DRAM, Nanya, Winbond and ESMT, as Samsung, SK Hynix and Micron exit DDR4. In MCUs it faces STMicro, NXP, Infineon, Renesas, Microchip and TI globally, plus local players at home, where it benefits from domestic substitution. Taiwanese memory peers trade on ~4x forward earnings, which shows how the market discounts peak-cycle profits.

Addressable market (TAM)

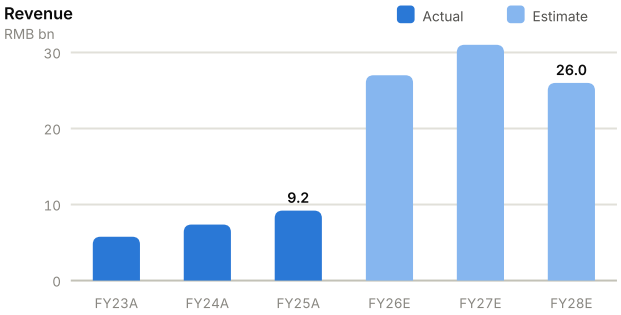
Frost & Sullivan estimates the global specialty-memory market at US$15.7bn in 2025, of which NOR flash was US$3.1bn. Both are rising sharply in value in 2026 as prices climb. The MCU market is larger and grows with industrial automation, EVs and IoT. GigaDevice's TTM revenue of RMB16.6bn (~US$2.5bn) gives it a meaningful share in each niche.

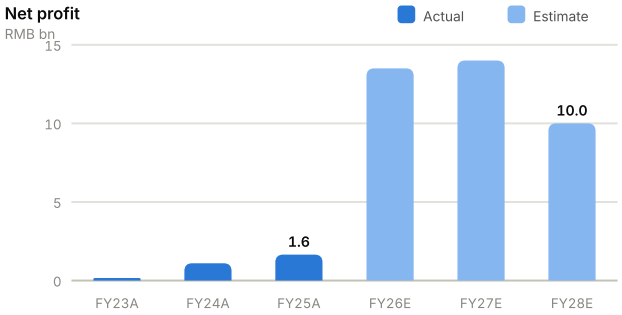
US$15.7bn
Global specialty-memory market, 2025 (Frost & Sullivan)

US$3.1bn
Global NOR flash market, 2025; GigaDevice ~18% share (No.2)

+90–110%
TrendForce forecast for high-capacity NOR price rises in H2'26

Financial analysis





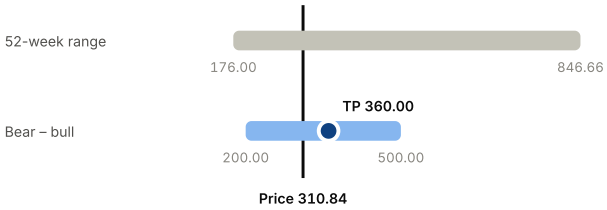
FY25 revenue rose 25% to RMB9.2bn and net profit 49% to RMB1.65bn. H1'26 revenue jumped 179% to RMB11.6bn and net profit 1,092% to RMB6.9bn, including more than RMB2bn of fair-value gains (36Kr). Net cash is ~RMB17bn with almost no debt. We forecast revenue of RMB27.0bn/31.0bn/26.0bn and net profit of RMB13.5bn/14.0bn/10.0bn for FY26–28E, peaking in FY27E and then normalising as capacity returns. Our FY26E EPS of RMB19.24 sits between the S&P consensus (RMB15.9) and the Simply Wall St figure (RMB20.9) in the source pack.

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
Winbond	2344 TT	4.2x	13.2x	5.6x
Macronix	2337 TT	3.8x	15.9x	5.0x
NXP Semiconductors	NXPI US	13.6x	12.7x	4.9x
GigaDevice	**603986 CH**	**16.3x**	**29.8x**	**12.1x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E). Winbond and Macronix forward P/Es reflect consensus peak-cycle earnings.

Valuation range vs current price (RMB)



Bear (Prices roll over in 2027; mid-cycle EPS): RMB200.00. Bull (Shortage extends through 2027): RMB500.00.

Our TP of RMB360 applies 18x to FY27E EPS of RMB19.95. This cycle-adjusted multiple is above NXP (~14x) for growth and well above Taiwanese memory peers (~4x peak earnings) for MCU diversification and domestic substitution. At the TP the stock would trade on ~25x our post-peak FY28E EPS. The consensus target of RMB632 assumes a longer cycle. The H-share (3986.HK) trades close to parity. Bear case RMB200: mid-cycle EPS of RMB12 at ~17x. Bull case RMB500: the shortage extends through 2027.

Sources: Company FY25 results and H1'26 report; 36Kr; China Biz Insider; TrendForce/Taipei Times; Frost & Sullivan (via Cailian); StockAnalysis/S&P Global; IBKR; source pack.

10 · SEMICONDUCTORS & MATERIALS · ADVANCED MATERIALS

China Jushi 中国巨石

600176.SH · Initiation of coverage · 12 October 2026

Hold

TP **RMB45.00**

Price RMB38.30 · +17%

AI has turned a commodity producer into a growth story; the price cycle still rules

China Jushi is the world's largest glass-fibre maker. AI-server demand for high-layer PCBs has tightened supply of electronic yarn and cloth, lifting H1'26 net profit 74%; the stock more than doubled, then halved from its peak. At 17.0x FY27E P/E the valuation is fair for a business whose earnings still hinge on e-cloth pricing. We initiate at **Hold**, TP RMB45.00 (+17% upside).

- **Electronic cloth is the profit engine.** 7628 e-fabric averaged RMB6.02/m in H1'26 (+49%) and rose another 15–20% in September, while roving prices were flat.
- **Capacity is arriving on time.** The 100kt Huai'an e-glass line (with 390m metres of cloth) hit full output by June; a 50kt/320m-metre line and a Tongxiang project follow, lifting global e-glass share from ~23% toward ~28%.
- **Much is priced in and supply is responding.** Kingboard, Taishan (Sinoma) and others are adding e-yarn capacity, and the second-largest shareholder, Zhenshi Group, is selling.

Catalysts

- Q3'26 results on 20 October.
- E-cloth price announcements.
- Certification of low-dielectric products.

Key risks

- E-yarn and e-cloth capacity additions by peers.
- Roving price war; energy costs.
- Share overhang from Zhenshi Group selling.
- Trade actions on Chinese or Egyptian glass fibre.

Key data

Price (12 Oct 2026)	RMB38.30
Target price (12m)	RMB45.00
Implied return	+17.5%
Market cap	RMB152.0bn / US$22.7bn
Enterprise value	RMB165.0bn
Net debt	RMB11.5bn
Shares outstanding	4.00bn
52-week range	14.78 – 77.20
Performance	+124.0% YTD
Dividend yield (FY26E)	1.8%
Consensus target	RMB63.27, 16 analysts
Other listing	A-share only

Key operating indicators

7628 e-cloth price, H1'26	RMB6.02/m (+49%)
Roving price, H1'26	Flat YoY
Huai'an e-glass line (2026)	100kt yarn + 390m m cloth
Next Huai'an line	50kt + 320m m (1.5-yr build)
Global e-glass fibre share	~23% → ~28%

Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB bn)	14.9	15.9	18.9	25.0	30.5	33.0
YoY growth	–	+7%	+19%	+32%	+22%	+8%
Gross margin	27.9%	24.8%	33.0%	39.0%	41.0%	40.0%
Net profit, attributable (RMB bn)	3.04	2.45	3.29	6.90	9.00	9.80
YoY growth	n.m.	−19%	+34%	+110%	+30%	+9%
EPS (RMB)	0.76	0.61	0.82	1.73	2.25	2.45
P/E (x)	**50.4x**	**62.8x**	**46.7x**	**22.2x**	**17.0x**	**15.6x**
DPS (RMB)	0.28	0.24	0.36	0.69	0.90	0.98
Dividend yield	0.7%	0.6%	0.9%	1.8%	2.3%	2.6%

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price.

Company background

China Jushi grew out of a glass-fibre plant in Tongxiang, Zhejiang and has been listed in Shanghai since 1999. It is controlled by China National Building Material (CNBM), and Zhenshi Group is the second-largest shareholder. It runs tank-furnace bases in Tongxiang, Jiujiang, Chengdu and Huai'an in China, plus Egypt and the US, and is the world's largest producer by capacity. Products span roving, chopped strands, yarn and electronic cloth.

Business model

Glass fibre is made in continuous tank furnaces that run for 8–10 years. The business is capital- and energy-intensive with high fixed costs, so scale, furnace efficiency and utilisation decide cost position. Jushi sells roving and chopped strands for wind blades, construction, autos, thermoplastics and pipes. It also sells electronic yarn and woven cloth to copper-clad-laminate makers, who supply PCB manufacturers. Pricing follows industry capacity additions. E-cloth demand is now tied to AI-server boards, where thinner, low-dielectric grades command premiums.

Competitive landscape

The main rivals are Taishan Fiberglass (Sinoma Science & Technology), Chongqing Polycomp (CPIC), Saint-Gobain/Vetrotex, Johns Manville and Nippon Electric Glass. In high-end electronic cloth they are Nittobo (Japan), Taiwan Glass, Grace Fabric and Kingboard. China produces most of the world's glass fibre and Jushi is the cost leader. Its gap is premium low-dielectric cloth, where Nittobo leads and Jushi is still in customer certification.

Addressable market (TAM)

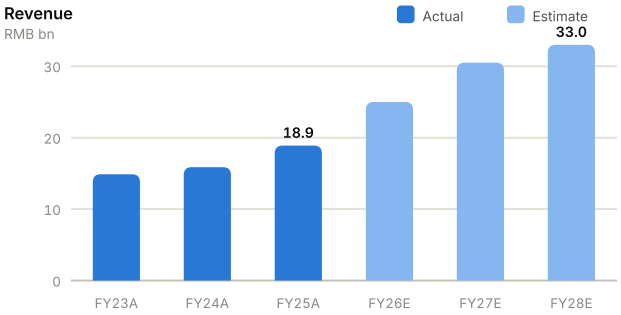
China produced 8.43Mt of glass-fibre yarn in 2025 (+11.5%), the large majority of global output. The electronic-grade segment is smaller but growing fastest, driven by AI servers, high-speed networking and automotive electronics. Jushi's FY25 revenue of RMB18.9bn (~US$2.8bn) makes it the global scale leader.

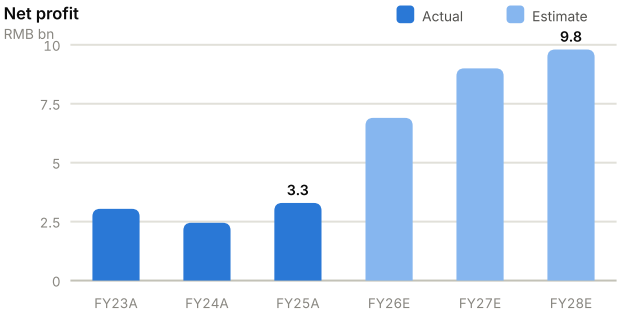
8.43Mt
China glass-fibre yarn output in 2025 (+11.5%)

~23% → 28%
Jushi share of global electronic-grade glass fibre after Huai'an

+15–20%
E-cloth price increases announced in September 2026

Financial analysis



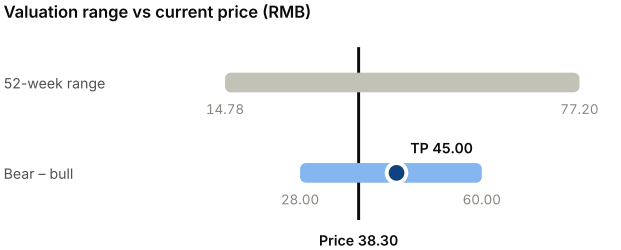


FY25 revenue grew 19% to RMB18.9bn and net profit 34% to RMB3.3bn as gross margin recovered from 24.8% to 33.0%. H1'26 revenue rose 22.5% to RMB11.2bn and net profit 74% to RMB2.93bn, and TTM gross margin is 38%. Net debt is ~RMB11.5bn and capex is rising (a RMB2.4bn e-cloth project was approved in July). We forecast net profit of RMB6.90bn/9.00bn/9.80bn for FY26–28E, below consensus (FY26E EPS RMB1.95), because we assume e-cloth prices plateau in 2027 as new capacity arrives.

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
Sinoma Science & Tech	002080 CH	24.9x	22.5x	3.4x
Nitto Boseki	3110 JP	26.6x	18.5x	5.1x
China Jushi	**600176 CH**	**16.1x**	**19.5x**	**7.9x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E).



Bear (E-cloth prices fade; roving price war): RMB28.00. Bull (AI-driven e-cloth tightness persists): RMB60.00.

Our TP of RMB45.00 is 20x FY27E EPS of RMB2.25, a discount to Sinoma Science & Technology (~25x) and Nittobo (~27x) forward because more of Jushi's profit comes from commodity roving. The stock is up 124% YTD but 50% below its RMB77.20 high. The consensus target (RMB63.3) assumes stronger pricing. Bear case RMB28.00: e-cloth prices fade and roving enters a price war. Bull case RMB60.00: AI-driven tightness persists into 2028.

Sources: Company FY25 and H1'26 results; Futu; Yicai Global; CompositesWorld; JEC; StockAnalysis/S&P Global; IBKR; source pack.

11 · SEMICONDUCTORS & MATERIALS · RARE-EARTH MAGNETS

JL Mag Rare-Earth 金力永磁

6680.HK · Initiation of coverage · 12 October 2026

Buy

TP **HK$18.50**

Price HK$14.75 · +25%

The global magnet leader; own it through the discounted H-share

JL Mag is the world's largest maker of high-performance NdFeB rare-earth magnets for EV motors, efficient air-conditioners, wind turbines and, increasingly, robots. H1'26 net profit rose 52% and gross margin 5.3pt. The H-share trades at a ~46% discount to the A-share, on 15.0x FY27E P/E with a ~2.6% yield. We initiate on the H-share at **Buy**, TP HK$18.50 (+25% upside).

- **A strategic position.** China makes ~90% of the world's sintered NdFeB magnets and controls rare-earth exports. JL Mag leads on scale and technology; its grain-boundary diffusion process cuts heavy rare-earth use.
- **Capacity-led growth.** Capacity rises from ~40kt (2025) to 60kt by end-2027. Robot-related sales rose 96% in H1'26, and small-batch humanoid rotor deliveries have started.
- **A valuation gap.** The A-share is on ~28x FY27E but the H-share only 15.0x, for the same earnings and a dividend yield near 2.6%.

Catalysts

- Q3'26 results on 28 October.
- Humanoid-robot rotor orders.
- Capacity ramp toward 60kt; dividends.

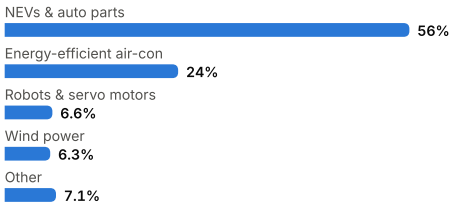
Key risks

- Rare-earth price volatility (inventory gains and losses).
- Export licensing and trade policy.
- Customer concentration in NEVs; overseas plant execution.
- The A/H discount could persist or widen.

Key data

Price (12 Oct 2026)	HK$14.75
Target price (12m)	HK$18.50
Implied return	+25.4%
Market cap	RMB29.6bn (A+H) / US$4.4bn
Enterprise value	RMB27.5bn
Net cash	RMB2.3bn
Shares outstanding	1.37bn
52-week range	14.33 – 28.71
Performance	-20.1% YTD
Dividend yield (FY26E)	2.6%
Consensus target	RMB37.28 (A-share), 10 analysts
Other listing	A-share 300748.SZ at RMB23.47 (H at ~46% discount)

H1'26 revenue by end-market (%)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB bn)	6.69	6.76	7.72	9.80	12.0	14.2
YoY growth	–	+1%	+14%	+27%	+22%	+18%
Gross margin	15.6%	10.4%	20.3%	21.5%	22.0%	22.5%
Net profit, attributable (RMB bn)	0.56	0.29	0.71	0.90	1.15	1.40
YoY growth	n.m.	−48%	+143%	+27%	+28%	+22%
EPS (RMB)	0.42	0.22	0.52	0.66	0.84	1.02
P/E on H-share price (x)	**30.0x**	**57.2x**	**24.2x**	**19.2x**	**15.0x**	**12.3x**
DPS (RMB)	0.26	–	0.40	0.33	0.42	0.51
Dividend yield	2.1%	–	3.2%	2.6%	3.3%	4.1%

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price, converted at HK$1 = RMB0.853.

Company background

JL Mag was founded in 2008 in Ganzhou, Jiangxi, at the heart of China's ionic-clay heavy rare-earth region, by chairman Cai Baogui and partners. It listed on Shenzhen's ChiNext board in 2018 and in Hong Kong in January 2022. Its production bases are in Ganzhou, Ningbo and Baotou (Inner Mongolia, close to light rare-earth supply), and it is building capacity overseas. Customers include leading global automakers, auto-parts suppliers, air-conditioner makers and wind-turbine OEMs.

Business model

JL Mag buys rare-earth oxides and metals (PrNd, dysprosium, terbium) from China's state-controlled rare-earth groups and turns them into sintered magnets made to customer specifications. Pricing is broadly raw-material cost plus a processing fee, so volume and processing margin drive profit. Rising rare-earth prices bring inventory gains and falling prices erode them, which explains the FY24 margin trough. Process technology (diffusion that saves heavy rare earths, recycling) and long qualification cycles with auto and robot customers create switching costs.

Competitive landscape

Chinese rivals include Ningbo Yunsheng, Zhong Ke San Huan, Ningbo Jintian, Yantai Zhenghai and Innuovo. Overseas producers include Proterial, Shin-Etsu, TDK and VAC, and MP Materials is building US magnet capacity with Department of Defense backing. China's 2025 rare-earth export-licensing regime slows exports but entrenches Chinese leaders. JL Mag's advantages are scale, cost and a qualified customer base; non-Chinese buyers, however, are actively seeking to diversify supply.

Addressable market (TAM)

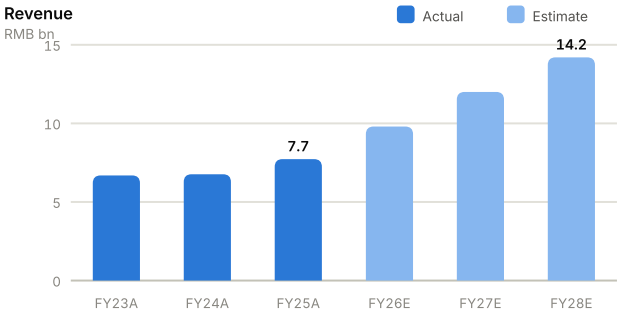
Industry estimates put high-performance NdFeB demand growth at ~10–15% a year to 2030. The drivers are EV traction motors (2–3kg of magnet per car), variable-frequency air-conditioners, direct-drive wind turbines and robotics (roughly 2–4kg per humanoid, on industry estimates). NdPr oxide peaked near US$98k/t in January 2026 and has eased since (RMB750k/t in July).

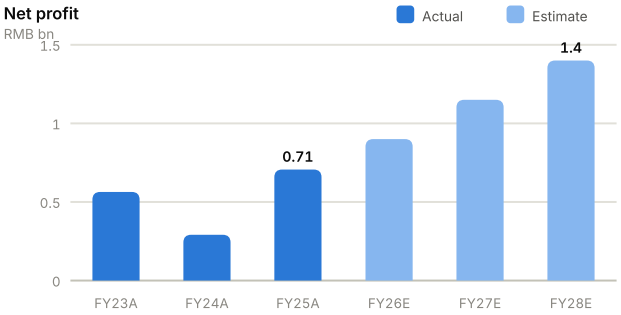
60kt
JL Mag magnet capacity target by end-2027 (~40kt in 2025)

+96%
Growth in robot-related sales, H1'26

~90%
China's share of global sintered NdFeB magnet production

Financial analysis



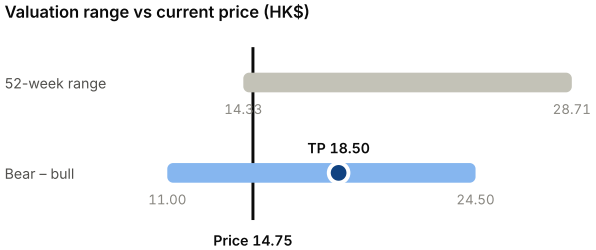


Revenue grew from RMB6.7bn (FY23) to RMB7.7bn (FY25). After a FY24 trough (gross margin 10.4%), FY25 net profit rose 142% to RMB0.71bn. H1'26 revenue rose 33% to RMB4.65bn and net profit 52% to RMB462m, at a 21.7% gross margin. Net cash is ~RMB2.3bn. We forecast net profit of RMB0.90bn/1.15bn/1.40bn for FY26–28E, in line with consensus (FY26E EPS RMB0.66), with capacity growth offset by softer rare-earth prices.

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
Ningbo Yunsheng	600366 CH	20.9x	16.3x	1.6x
Zhong Ke San Huan	000970 CH	56.5x	33.2x	1.8x
MP Materials	MP US	130x	184x	17.9x
JL Mag (A-share)	**6680 HK**	**24.7x**	**24.4x**	**3.1x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E).



Bear (Rare-earth prices slide; robot demand slips): HK$11.00. Bull (Humanoid volumes and export recovery): HK$24.50.

Our H-share TP of HK$18.50 is 19x FY27E EPS of RMB0.84, a discount to Ningbo Yunsheng (~21x) and to the A-share (~28x) that reflects the persistent A/H gap. Even at our TP the H-share would sit ~33% below the A-share. The A-share consensus target is RMB37.3, but at RMB23.47 we see the A-share as fairly valued. Bear case HK$11.00: rare-earth prices slide and robot demand slips. Bull case HK$24.50: humanoid volumes and an export recovery.

Sources: Company H1'26 HKEX interim results; SMM; Benchmark Mineral Intelligence; Simply Wall St; StockAnalysis/S&P Global; IBKR; source pack.

12 · EQUIPMENT, ROBOTICS & MEDTECH · INDUSTRIAL EQUIPMENT

Han's Laser 大族激光

002008.SZ · Initiation of coverage · 12 October 2026

Buy

TP **RMB95.00**

Price RMB70.18 · +35%

A genuine AI-capex winner with order visibility; the sell-off is an entry point

Han's Laser is Asia's largest laser and smart-manufacturing equipment maker. AI-server PCBs need far more drilling and processing, and its PCB-equipment arm has become the growth engine: H1'26 revenue rose 76% and net profit 164%. The stock is ~58% below its high (−7% on 12 October). At 18.5x FY27E P/E, with RMB28bn of new orders and backlog, we initiate at **Buy**, TP RMB95.00 (+35% upside).

- **AI-server PCBs are a multi-year driver.** High-layer, high-density boards need more mechanical and laser drilling, exposure and testing; FY25 PCB-equipment revenue rose 73% to RMB5.8bn.
- **Visibility is unusually good.** Management guides FY26 revenue of at least RMB27bn (+44%) and cites RMB19bn of new orders plus a RMB9bn backlog.
- **Operating leverage.** H1'26 gross margin rose 4pt to 34.9%; we forecast FY27E EPS of RMB3.79 (+42%).

Catalysts

- Q3'26 results on 23 October.
- Large PCB-equipment orders.
- FY27 guidance and AI-server PCB capex data.

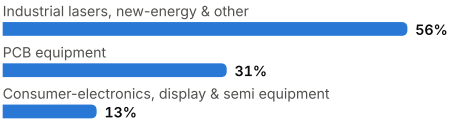
Key risks

- AI capex slowdown or PCB capacity digestion.
- Apple and consumer-electronics cycle.
- Further share sales by the controlling shareholder.
- Minority leakage from listed subsidiaries.

Key data

Price (12 Oct 2026)	RMB70.18
Target price (12m)	RMB95.00
Implied return	+35.4%
Market cap	RMB72.3bn / US$10.8bn
Enterprise value	RMB70.4bn
Net cash	RMB5.8bn
Shares outstanding	1.03bn
52-week range	34.43 – 168.08
Performance	+70.8% YTD
Dividend yield (FY26E)	0.6%
Consensus target	RMB157.23, 11 analysts
Other listing	A-share; PCB-equipment arm Han's CNC listed separately

FY25 revenue mix (%)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB bn)	14.1	14.8	18.8	27.5	34.0	39.0
YoY growth	–	+5%	+27%	+47%	+24%	+15%
Gross margin	31.4%	30.4%	32.2%	34.5%	35.0%	35.0%
Net profit, attributable (RMB bn)	0.82	1.69	1.19	2.75	3.90	4.60
YoY growth	n.m.	+106%	−30%	+131%	+42%	+18%
EPS (RMB)	0.78	1.62	1.15	2.67	3.79	4.47
P/E (x)	**90.0x**	**43.3x**	**61.0x**	**26.3x**	**18.5x**	**15.7x**
DPS (RMB)	0.20	0.35	0.20	0.40	0.57	0.67
Dividend yield	0.3%	0.5%	0.3%	0.6%	0.8%	1.0%

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price.

Company background

Han's Laser was founded in Shenzhen in 1996 by Gao Yunfeng, who remains chairman and controlling shareholder (he trimmed his stake in September 2026). It listed in Shenzhen in 2004 and has become Asia's largest industrial-laser equipment group, selling more than 54,000 machines in FY25. Its businesses include Han's CNC (PCB drilling and processing, separately listed), consumer-electronics automation (a long-standing Apple supply-chain vendor), lithium-battery equipment, semiconductor and display equipment, and high-power cutting and welding lasers.

Business model

Han's sells capital equipment, so revenue tracks customers' capex cycles: PCB makers (now driven by AI servers), consumer-electronics assemblers (Apple product cycles), battery makers and general metal fabricators. It sells systems that integrate in-house lasers, motion control and software, plus spare parts and service. Margins depend on mix, since PCB and precision equipment earn more than general cutting lasers, and on utilisation. Working capital rises in upcycles.

Competitive landscape

In PCB equipment, Han's CNC competes with Japan's Via Mechanics and Mitsubishi Electric (laser drilling), Germany's Schmoll and Taiwanese makers, and leads in China. In industrial lasers the global rivals are Trumpf, Coherent, IPG and Bystronic, with HGTECH (Huagong) and Hymson at home; in battery equipment, Lead Intelligent and Yinghe. Han's edge is breadth, closeness to customers in Shenzhen's electronics cluster, and cost.

Addressable market (TAM)

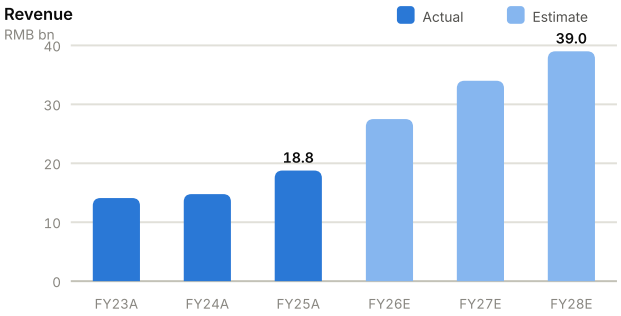
Global PCB output is roughly US$75–80bn a year (Prismark). AI-server and high-speed networking boards are the fastest-growing segment, prompting capacity additions in China, Taiwan and Southeast Asia. Industrial laser processing is a broader, more cyclical market. Han's FY26E revenue of ~RMB27bn (~US$4bn) places it among the largest players in both.

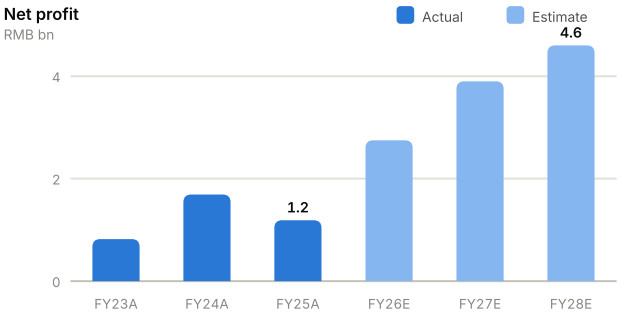
RMB27bn+
Han's 2026 revenue guidance (+44%)

RMB19bn + RMB9bn
New orders plus backlog cited by management

+73%
PCB-equipment revenue growth in FY25 (to RMB5.8bn)

Financial analysis



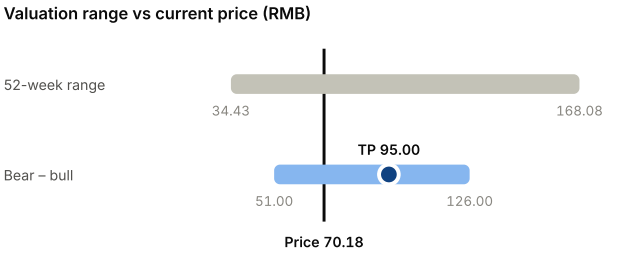


FY25 revenue rose 27% to RMB18.8bn. Reported net profit fell 30% to RMB1.19bn against a 2024 base inflated by RMB1.25bn of one-off gains, while core profit rose 82% to RMB0.81bn. H1'26 revenue rose 76% to RMB13.4bn and net profit 164% to RMB1.29bn. Net cash is ~RMB5.8bn. We forecast revenue of RMB27.5bn/34.0bn/39.0bn and net profit of RMB2.75bn/3.90bn/4.60bn for FY26–28E. Our FY26E is close to the forecast cited in the source pack (RMB2.65bn), but our FY27E is below both that and the S&P consensus.

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
HGTECH (Huagong)	000988 CH	38.6x	61.6x	5.9x
Wuxi Lead Intelligent	300450 CH	19.8x	20.3x	3.1x
IPG Photonics	IPGP US	38.1x	23.7x	2.3x
Han's Laser	**002008 CH**	**16.9x**	**19.7x**	**2.9x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E).



Bear (AI capex pause; PCB orders digest): RMB51.00. Bull (AI PCB capex keeps accelerating): RMB126.00.

Our TP of RMB95.00 is 25x FY27E EPS of RMB3.79: a premium to Lead Intelligent (~20x forward) for AI exposure, but below HGTECH (~39x). UOB's target is RMB153.2 and the consensus average RMB157, both on higher FY27 earnings. Bear case RMB51.00: an AI capex pause and PCB order digestion. Bull case RMB126: AI PCB capex keeps accelerating.

Sources: Company FY25 results release and H1'26 report; Longbridge; UOB Kay Hian; Futu; MarketScreener; StockAnalysis/S&P Global; IBKR; source pack.

13 · EQUIPMENT, ROBOTICS & MEDTECH · AUTO SEMICONDUCTORS & SOFTWARE

Horizon Robotics 地平线机器人

9660.HK · Initiation of coverage · 12 October 2026

Buy

TP HK$5.15

Price HK$3.995 · +29%

The 'ARM + Android' of driver assistance, back at its IPO price; licensing is the hidden gem

Horizon designs automotive AI processors and licenses its chip IP, algorithms and software to automakers and Tier-1s. Licensing reached 55% of H1'26 revenue at a 90% gross margin even as China car sales fell 20%. The shares are back at the 2024 IPO price, valuing the company at ~5.8x FY27E EV/sales. We initiate at **Buy**, TP HK$5.15 (+29% upside), while flagging losses to 2028 and a steep H1 cash draw.

- **Taking share in a falling market.** Journey SoC shipments rose 12% to 2.2m in H1'26 while China passenger-car retail fell 20%. Design wins are near 500 models, including ~130 with advanced NOA.
- **Licensing changes the economics.** Licence and service revenue rose 53% to RMB1.13bn at a 90% gross margin, and Toyota programmes and global Tier-1s (Denso, AUMOVIO) are adopting Journey 6B.
- **A catalyst-rich 2026–27.** HSD urban NOA is ramping, integrated cockpit-driving mass production starts in Q4, Journey 7 is due in 2027, and FY26 revenue guidance is above RMB5bn.

Catalysts

- Q4'26 start of integrated cockpit-driving mass production.
- HSD model launches and shipment updates.
- Journey 7 tape-out; L4 robotaxi pilot.

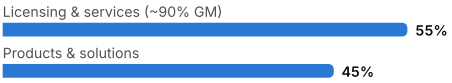
Key risks

- China auto price war and OEM in-house chips.
- Competition from Nvidia, Qualcomm and Huawei.
- Cash burn and dilution; foundry or export-control restrictions.
- Execution on HSD and Journey 7.

Key data

Price (12 Oct 2026)	HK$3.995
Target price (12m)	HK$5.15
Implied return	+28.9%
Market cap	HK$63.4bn / US$8.1bn
Enterprise value	RMB40.4bn
Net cash	RMB13.7bn
Shares outstanding	15.87bn
52-week range	3.60 – 9.80
Performance	-54.1% YTD
Consensus target	HK$8.15
Other listing	Hong Kong only (IPO October 2024 at HK$3.99)

H1'26 revenue mix (%)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB bn)	1.55	2.38	3.76	5.10	7.00	9.30
YoY growth	–	+54%	+58%	+36%	+37%	+33%
Gross margin	70.5%	77.3%	64.5%	64.0%	63.0%	62.0%
Adj. net profit (loss) (RMB bn)	–	(1.68)	(2.81)	(3.00)	(1.80)	(0.20)
Margin	–	-71%	-75%	-59%	-26%	-2%
EV/sales at current price (x)	**26.1x**	**17.0x**	**10.7x**	**7.9x**	**5.8x**	**4.3x**

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price, converted at HK$1 = RMB0.853.

Company background

Horizon Robotics was founded in Beijing in 2015 by Yu Kai, former head of Baidu's Institute of Deep Learning. It listed in Hong Kong in October 2024 at HK$3.99, roughly where the shares trade today. Strategic shareholders include major Chinese automakers, and it runs CARIZON, a software joint venture with Volkswagen's CARIAD. Its Journey processors power driver-assistance features for most major Chinese OEMs and, increasingly, international brands. In March 2026 it deconsolidated its robotics affiliate, D-Robotics.

Business model

Horizon sells three layers. First, Journey system-on-chips plus reference solutions for ADAS and highway/urban navigate-on-autopilot (NOA). Second, the full-stack HSD (Horizon SuperDrive) urban driving system. Third, licences for its processor IP, algorithms,

toolchain and foundation models. Products and solutions (45% of H1'26 revenue) carry hardware margins; licensing and services (55%) carry ~90% margins and scale with partners' volumes. Heavy R&D (RMB5.2bn in FY25) keeps the company loss-making, with breakeven targeted for 2028.

Competitive landscape

Horizon competes with Nvidia (Orin/Thor) at the high end, Mobileye and Qualcomm in mainstream ADAS, Huawei's vertically integrated Qiankun stack, Black Sesame, and automakers' in-house chips (NIO, Xpeng, BYD). Software specialists such as Momenta compete for the stack on Nvidia or Qualcomm silicon. Horizon's edge is cost-optimised silicon for China's mass market plus an open licensing model OEMs can customise. The risk is that large OEMs take more of the stack in-house.

Addressable market (TAM)

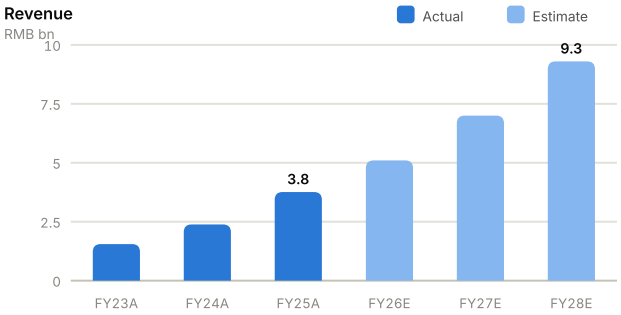
China sells more than 20m passenger cars a year, and driver assistance is moving fast down the price ladder: HSD targets cars around RMB70–150k. Frost & Sullivan, cited in Horizon's prospectus, projected China's ADAS/AD solutions market to grow from ~RMB60bn in 2023 to more than RMB1tn by 2030. Robotics licensing via D-Robotics adds optionality.

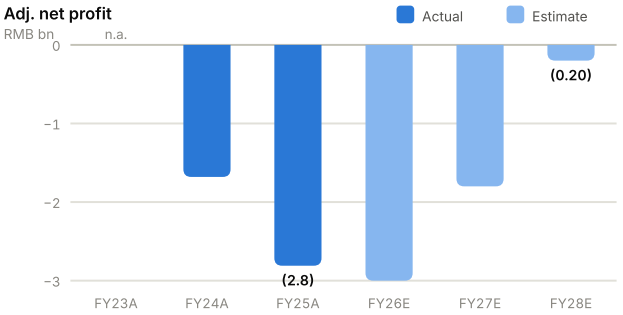
2.22m
Journey SoC shipments in H1'26 (+12%) while China car retail fell 20%

~500 / ~130
Cumulative design wins: all models / advanced-NOA models

RMB1tn+
China ADAS/AD solutions market by 2030 (F&S, via prospectus)

Financial analysis



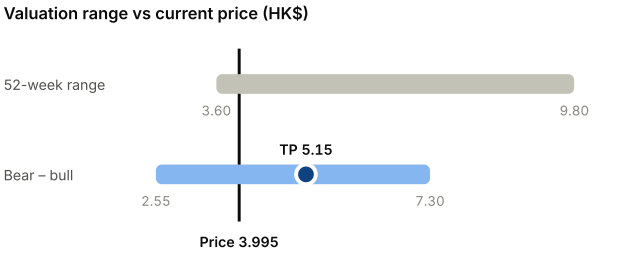


Revenue rose from RMB1.55bn (FY23) to RMB3.76bn (FY25, +58%) at a 64.5% gross margin. Reported results swing with fair-value items: a RMB10.5bn loss in FY25, then a RMB3.8bn profit in H1'26, mostly from fair-value and deconsolidation gains. The adjusted net loss was RMB2.81bn in FY25 and RMB1.67bn in H1'26. Cash fell from RMB20.2bn to RMB14.9bn in the half; we estimate net cash of ~RMB13.7bn after borrowings. We forecast revenue of RMB5.10bn/7.00bn/9.30bn, with the adjusted loss narrowing to near breakeven in FY28E.

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
Mobileye	MBLY US	16.6x	n.m.	2.3x
Ambarella	AMBA US	73.0x	n.m.	6.5x
Black Sesame	2533 HK	n.m.	n.m.	4.5x
Horizon Robotics	**9660 HK**	**n.m.**	**n.m.**	**9.5x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E). EV/sales on trailing revenue; Black Sesame approximated by P/S.



Bear (3.5x on FY27E revenue of RMB6.0bn): HK$2.55. Bull (10x on FY27E revenue of RMB8.5bn): HK$7.30.

Our TP of HK$5.15 applies 8x EV/sales to FY27E revenue of RMB7.00bn and adds net cash. The multiple is above Mobileye (~2.3x) and Ambarella (~6.5x) because over half of revenue is high-margin licensing growing more than 50%. The consensus target is ~HK$8.2–8.6. Bear case HK$2.55: 3.5x on lower FY27E revenue (RMB6.0bn). Bull case HK$7.30: 10x on RMB8.5bn.

Sources: Company FY25 annual results and H1'26 HKEX interim results; earnings call; Business Insider; Gasgoo; StockAnalysis; IBKR; source pack.

14 · EQUIPMENT, ROBOTICS & MEDTECH · ROBOTICS COMPONENTS

Leaderdrive 绿的谐波

688017.SH · Initiation of coverage · 12 October 2026

Sell

TP **RMB176**

Price RMB252.02 · −30%

A good company priced for a humanoid future that has not yet arrived

Leaderdrive is China's leading maker of harmonic reducers, the precision gears in robot joints, and a key supplier to humanoid-robot developers. Growth is solid (H1'26 revenue +39%), but at ~308x FY26E and ~205x FY27E P/E the shares discount mass humanoid adoption years ahead of the evidence. We initiate at **Sell** with a TP of RMB176 (30% downside).

- **A strong franchise.** With an estimated 30–40% of China's harmonic-reducer market, Leaderdrive has displaced Japanese imports at materially lower prices and supplies humanoid makers such as Agibot and UBTech.
- **But the numbers are small.** FY25 revenue was RMB571m and H1'26 net profit RMB70m; Q2 margins fell and results missed forecasts.
- **The valuation embeds perfection.** Our TP capitalises FY30E net profit of RMB1.0bn (8x FY25) at 40x and discounts it back three years. Even our bull case (RMB345) needs a humanoid boom.

Catalysts

- Q3'26 results on 31 October.
- Hong Kong H-share listing.
- Humanoid-robot order announcements.

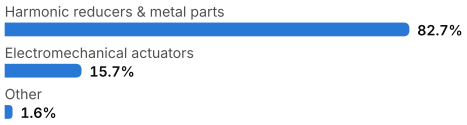
Risks to our Sell call

- Faster humanoid mass production (e.g. Tesla Optimus, Unitree, Agibot) re-rates the theme.
- The H-share listing and SKF joint venture broaden the investor base.
- Thematic liquidity in STAR-market robotics names.
- Downside: price competition; a Q3 miss on 31 October.

Key data

Price (12 Oct 2026)	RMB252.02
Target price (12m)	RMB176.00
Implied return	−30.2%
Market cap	RMB46.2bn / US$6.9bn
Enterprise value	RMB44.0bn
Net cash	RMB2.2bn
Shares outstanding	183.3m
52-week range	139.62 – 495.66
Performance	+31.2% YTD
Dividend yield (FY26E)	0.1%
Consensus target	RMB322.66, 15 analysts
Other listing	STAR Market; Hong Kong H-share listing planned

H1'26 revenue mix (%)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB m)	356	387	571	780	1,100	1,550
YoY growth	–	+9%	+47%	+37%	+41%	+41%
Gross margin	36.1%	28.7%	31.7%	31.0%	32.0%	33.0%
Net profit, attributable (RMB m)	84	56	124	150	225	330
YoY growth	n.m.	−33%	+121%	+21%	+50%	+47%
EPS (RMB)	0.50	0.33	0.69	0.82	1.23	1.80
P/E (x)	**504x**	**764x**	**365x**	**308x**	**205x**	**140x**
DPS (RMB)	0.30	0.10	0.21	0.25	0.37	0.54
Dividend yield	0.1%	0.0%	0.1%	0.1%	0.1%	0.2%

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price.

Company background

Leaderdrive was founded in Suzhou in 2011 by chairman Zuo Yuyu, who developed strain-wave gearing in-house when China depended on Japanese imports. It listed on Shanghai's STAR Market in 2020 and is widely regarded as China's largest harmonic-reducer maker. It serves industrial and collaborative robot makers, humanoid developers, CNC machine tools, semiconductor equipment and medical devices. It plans a Hong Kong H-share listing and a robotics joint venture with SKF.

Business model

Leaderdrive makes harmonic reducers (flexspline, circular spline and wave generator) and related precision metal parts, which were 83% of H1'26 revenue. It also sells integrated electromechanical joint actuators (16%) that combine reducer, motor, encoder and drive and raise content per joint. Building its own machine tools and process know-how gives it a cost edge. Gross margin has fallen from ~50% (FY21) to ~31% as it cut prices to win share and invested in capacity.

Competitive landscape

The global benchmark is Harmonic Drive Systems (Japan), alongside Nidec-Shimpo. Domestic rivals include Laifual, Zhongda Leader, KOFON and Han's Motion. For heavier joints, RV reducers (Nabtesco, Shuanghuan) and planetary or roller-screw designs compete. A key risk is that humanoid designs shift to alternative transmissions, or that robot makers bring reducers in-house.

Addressable market (TAM)

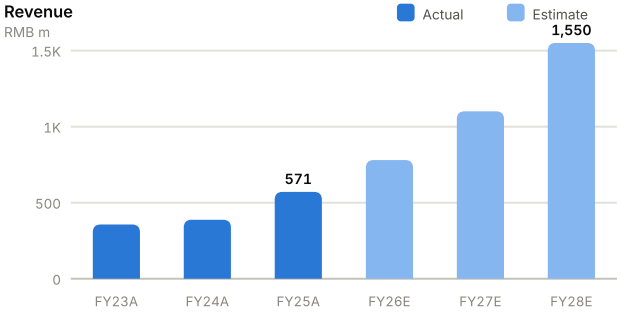
China installs ~300k industrial robots a year (IFR), each with several harmonic reducers in its smaller joints. Humanoids could add a much larger pool: at ~14–20 reducers per robot, one million humanoids a year would need 14–20 million units, many times today's market. Timing and design choices remain highly uncertain, and humanoid output today is in the tens of thousands of units.

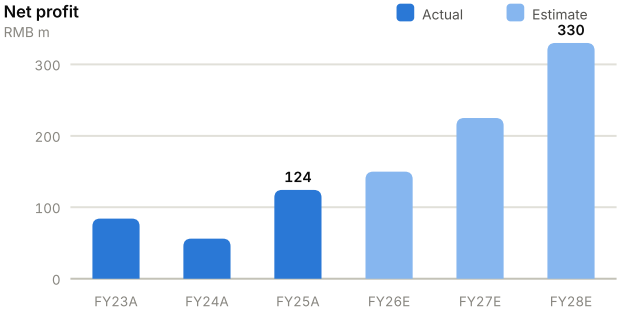
30–40%
Leaderdrive share of China's harmonic-reducer market (JPMorgan est.)

~14–20
Harmonic reducers per humanoid robot (industry estimates)

~300k
Industrial robots installed in China each year (IFR)

Financial analysis



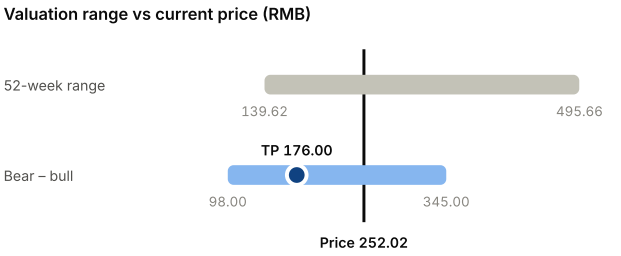


Revenue fell from RMB443m (FY21) to RMB356m (FY23) before recovering to RMB571m in FY25 (+47%), with net profit of RMB124m. H1'26 revenue rose 39% to RMB349m and net profit 31% to RMB70m, but Q2 margins fell as expenses rose. Net cash is ~RMB2.2bn. We forecast revenue of RMB780m/1,100m/1,550m and net profit of RMB150m/225m/330m for FY26–28E, below consensus (FY26E EPS RMB0.93).

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
Harmonic Drive Systems	6324 JP	79.9x	50.9x	9.3x
Nabtesco	6268 JP	21.9x	11.8x	1.7x
Zhejiang Shuanghuan	002472 CH	19.9x	13.3x	3.4x
Leaderdrive	**688017 CH**	**226x**	**278x**	**65.9x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E).



Bear (FY30E profit RMB0.6bn at 35x): RMB98.00. Bull (FY30E profit RMB1.8bn at 45x): RMB345.00.

Our TP of RMB176 capitalises FY30E net profit of RMB1.0bn at 40x, discounts it back three years at 10% and adds net cash. Harmonic Drive Systems, the global leader, trades on ~80x forward earnings and ~9x EV/sales, against ~66x EV/sales for Leaderdrive. The consensus target is RMB323, but ratings are split (7 Buy, 4 Hold, 4 Sell). Bear case RMB98.00: FY30E profit of RMB0.6bn at 35x. Bull case RMB345: RMB1.8bn at 45x on a humanoid boom.

Sources: Company FY25 annual and H1'26 reports; Gasgoo; Investing.com; Simply Wall St; JPMorgan (via humanoid.guide); 36Kr; StockAnalysis/S&P Global; IBKR; source pack.

15 · EQUIPMENT, ROBOTICS & MEDTECH · MEDICAL DEVICES

Edge Medical 精锋医疗

2675.HK · Initiation of coverage · 12 October 2026

Buy

TP **HK$40.50**

Price HK$32.88 · +23%

An export-led surgical-robot challenger at breakeven: small and volatile, but worth owning

Edge Medical makes multi-port and single-port laparoscopic surgical robots and, unusually for a Chinese medtech, sells most of them abroad (70% of H1'26 revenue). Revenue more than doubled in H1'26 and losses all but disappeared. Trading 24% below its January IPO price, at ~8.8x FY27E EV/sales versus ~13x for Intuitive Surgical, we initiate at **Buy**, TP HK$40.50 (+23% upside).

- **Export-led growth.** 49 of the 58 robots placed in H1'26 went overseas (Asia, Europe, the Middle East, Latin America); MP1000 is approved in 37 overseas jurisdictions.
- **A profitability inflection.** Gross margin is ~64% and the H1 net loss narrowed 78% to RMB19m. We expect breakeven in FY26E and RMB250m of profit in FY28E.
- **Recurring revenue is the long-term prize.** Instruments and service are <1% of revenue today. As the installed base (158 units) grows, an Intuitive-style razor-and-blade model should lift earnings quality.

Catalysts

- Progress on the A-share listing.
- New country approvals, including US/EU registrations.
- FY26 results confirming a first full-year profit.

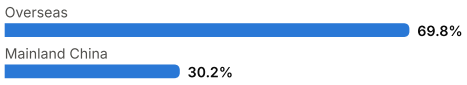
Key risks

- Small cap (~US$1.6bn), thin liquidity and post-IPO volatility.
- Competition from Intuitive and MicroPort; pricing pressure.
- Overseas regulatory, reimbursement and distributor execution risk.
- Slow build-up of recurring revenue.

Key data

Price (12 Oct 2026)	HK$32.88
Target price (12m)	HK$40.50
Implied return	+23.2%
Market cap	HK$12.8bn / US$1.6bn
Enterprise value	RMB9.6bn
Net cash	RMB1.3bn
Shares outstanding	389.6m
52-week range	31.26 – 73.70
Performance	-24% since IPO
Consensus target	HK$60.65, 5 analysts
Other listing	Hong Kong (IPO 8 Jan 2026 at HK$43.24); A-share listing in preparation

H1'26 revenue by region (%)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB m)	48	160	456	780	1,100	1,500
YoY growth	–	+233%	+185%	+71%	+41%	+36%
Gross margin	–	–	66.0%	64.5%	65.0%	66.0%
Net profit (loss) (RMB m)	(213)	(218)	(89)	15	130	250
Margin	-444%	-137%	-19%	2%	12%	17%
EV/sales at current price (x)	**201x**	**60.2x**	**21.1x**	**12.3x**	**8.8x**	**6.4x**

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price, converted at HK$1 = RMB0.853.

Company background

Shenzhen Edge Medical was founded in Shenzhen in 2017 by Dr Wang Jianchen, its chairman and CEO. It is the first Chinese company with approvals for multi-port, single-port and natural-orifice (bronchoscopy) surgical robots. It listed in Hong Kong on 8 January 2026 at HK$43.24, raising ~HK$1.1bn with cornerstones including ADIA, UBS AM, OrbiMed and Tencent, and is preparing an A-share listing. By end-2025, surgeons in China had performed more than 14,000 robot-assisted procedures on its systems, plus over 500 telesurgery cases.

Business model

Edge sells robotic systems (99.6% of H1'26 revenue) to hospitals, directly and through overseas distributors, priced well below Intuitive's da Vinci. Each placement then drives recurring sales of instruments, consumables and service contracts, which are tiny

today but carry high margins. Telesurgery capability and a single-port platform set it apart from domestic rivals. Capacity is >100 units a year, with a ~350-unit plant under construction.

Competitive landscape

Intuitive Surgical dominates globally with the da Vinci platform, including the single-port SP. Medtronic (Hugo), J&J (Ottava, in development) and CMR (Versius) are the other global challengers. In China, MicroPort MedBot (Toumai) is the main domestic rival, alongside Kangduo and Shurui. Edge competes on price, single-port and telesurgery capability, and speed of overseas registration. Hospital purchase quotas and pricing reforms shape demand in China.

Addressable market (TAM)

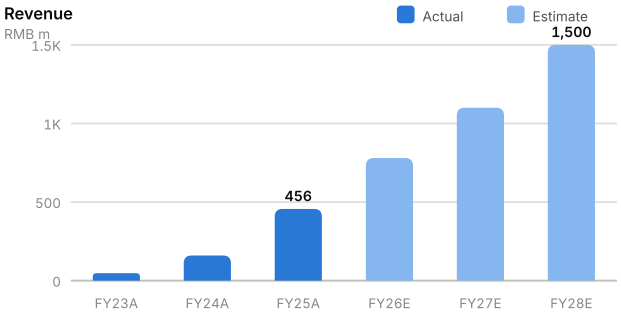
Intuitive's ~US$10bn of annual revenue is the best proxy for today's global market, and robotic penetration of laparoscopic surgery outside the US remains low. China is still early, with large-equipment purchase quotas limiting placements. Emerging markets in Asia, the Middle East and Latin America are under-penetrated and price-sensitive, which suits Edge's offer. DBS projects a 49% revenue CAGR to 2030 (source pack).

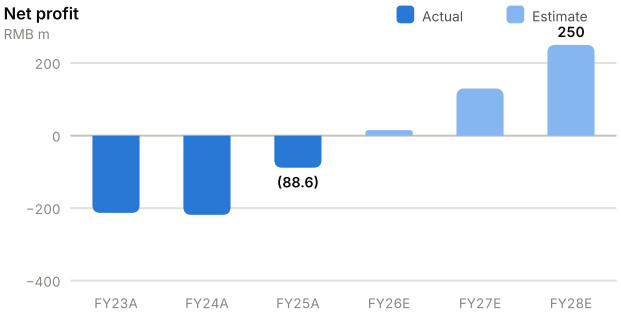
158
Robots installed or delivered by June 2026 (103 overseas)

37
Overseas jurisdictions with MP1000 approval

~350 units
Annual capacity of the new plant under construction (>100 today)

Financial analysis



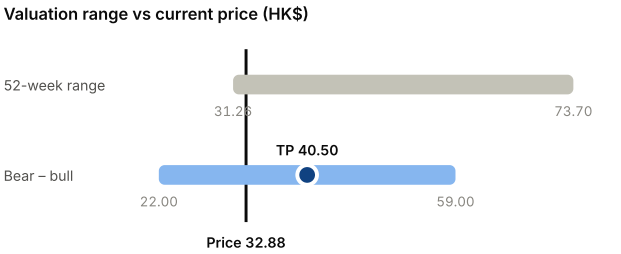


Revenue grew from RMB48m (FY23) to RMB160m (FY24) and RMB456m (FY25), with a 66% gross margin and the net loss narrowing from RMB219m to RMB89m. H1'26 revenue rose 114% to RMB319m at a 64.1% gross margin, and the net loss narrowed to RMB19m as R&D fell 44% with programmes maturing. Cash was RMB1.26bn at end-June after the IPO. We forecast revenue of RMB780m/1,100m/1,500m, with profits from FY26E.

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
Intuitive Surgical	ISRG US	37.5x	34.6x	13.1x
MicroPort MedBot	2252 HK	n.m.	n.m.	30.0x
Edge Medical	**2675 HK**	**75.3x**	**n.m.**	**13.3x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E). EV/sales on trailing revenue; MicroPort MedBot approximated by P/S at its last available price (31 Aug).



Bear (7x on FY27E revenue of RMB850m): HK$22.00. Bull (14x on FY27E revenue of RMB1.3bn): HK$59.00.

Our TP of HK$40.50 applies 11x EV/sales to FY27E revenue of RMB1,100m and adds net cash. That is a discount to Intuitive (~13x) for scale and recurring-revenue mix, and far below MicroPort MedBot (~30x trailing sales). The consensus target is ~HK$61 (5 analysts). Bear case HK$22.00: 7x on lower FY27E revenue (RMB850m). Bull case HK$59.00: 14x on RMB1.3bn.

Sources: Company H1'26 HKEX interim results and prospectus-era disclosures; Cleary Gottlieb; MassDevice; Simply Wall St; Bitget (DBS); StockAnalysis; IBKR; source pack.

16 · AI LARGE-MODEL DEVELOPERS · AI FOUNDATION MODELS

Z.AI (Zhipu AI) 智谱

2513.HK · Initiation of coverage · 12 October 2026

Hold

TP HK$610

Price HK$619.00 · −1%

Real traction, enormous expectations: a well-funded option on China's LLM market

Z.AI (Zhipu) develops the GLM family of large language models and sells them mainly through cloud APIs and coding subscriptions, plus on-premise deployments for enterprises and government. H1'26 revenue rose 400% to RMB954m but missed expectations, and losses remain large. After raising ~US$9.5bn since its January IPO, it trades at ~14.3x FY27E EV/sales. We initiate at **Hold**, TP HK$610 (−1% vs current).

- **Commercial traction is real.** Cloud/API is 86.5% of revenue, GLM-5.3 ships on AWS, Alibaba Cloud and Huawei Cloud under revenue-share deals, and management targets US$3.0bn of ARR by end-2026.
- **The balance sheet is a weapon.** ~US$9.5bn raised in nine months (IPO, July placement, September placement plus a RMB20bn convertible) funds GLM-6.0 and compute; domestic chips cut unit inference cost by 80%.
- **But the valuation assumes success.** H1 revenue missed (RMB954m vs RMB1.35bn expected), gross margin fell to 26% and each raise dilutes holders. We see the risk/reward as balanced.

Catalysts

- GLM-6.0 release.
- ARR disclosures and quarterly revenue run-rate.
- Shanghai A-share listing.

Key risks

- Price war and rising compute costs.
- Further dilution (equity and convertible).
- US export controls and Entity-List constraints on chips.
- Execution on GLM-6.0 and the ARR target (upside if it is met).

Key data

Price (12 Oct 2026)	HK$619.00
Target price (12m)	HK$610.00
Implied return	−1.5%
Market cap	HK$288.2bn / US$36.7bn
Enterprise value	RMB200.9bn
Net cash	RMB45.0bn
Shares outstanding	466.0m
52-week range	116.10 – 2,980
Performance	+433% since IPO
Consensus target	HK$1,565
Other listing	Hong Kong (IPO 8 Jan 2026 at HK$116.20); Shanghai A-share listing planned

H1'26 revenue mix (%)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (RMB m)	124	312	724	5,000	14,000	26,000
YoY growth	–	+151%	+132%	+590%	+180%	+86%
Gross margin	–	–	–	28.0%	32.0%	38.0%
Adj. net profit (loss) (RMB m)	–	–	(3,180)	(5,500)	(4,500)	(1,500)
Margin	–	–	-439%	-110%	-32%	-6%
EV/sales at current price (x)	**n.m.**	**643x**	**277x**	**40.2x**	**14.3x**	**7.7x**

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price, converted at HK$1 = RMB0.853.

Company background

Zhipu was spun out of Tsinghua University's Knowledge Engineering Group in 2019 by professors Tang Jie and Li Juanzi; Zhang Peng is CEO. Its ChatGLM/GLM models were among China's earliest open-weight LLMs, and the US added the company to its Entity List in January 2025. On 8 January 2026 it became Hong Kong's first listed LLM developer (IPO price HK$116.20). It operates internationally as Z.AI and plans a Shanghai A-share listing.

Business model

Z.AI monetises GLM models in two ways. Cloud/API (86.5% of H1'26 revenue) covers per-token model-as-a-service pricing, GLM coding subscription plans popular with developers, and revenue-share distribution through hyperscalers. On-premise deployments for

state-owned enterprises, government and regulated industries often run on Huawei Ascend hardware; contracts are larger but revenue is lumpier. Gross margin fell from ~50% to 26% as mix shifted to cloud. Compute is the main cost, which makes inference efficiency and chip access strategic.

Competitive landscape

In China, Z.AI competes with DeepSeek (an open-weight price-setter), Alibaba's Qwen, ByteDance's Doubao/Seed, Moonshot's Kimi, MiniMax, StepFun, Baidu ERNIE and Tencent Hunyuan; globally, with OpenAI, Anthropic and Google. The domestic API market has been in a price war, and DeepSeek's August price increase is an encouraging sign of rationalisation. Z.AI's differentiation is coding capability, enterprise and government trust, and the most commercial traction among independent Chinese labs.

Addressable market (TAM)

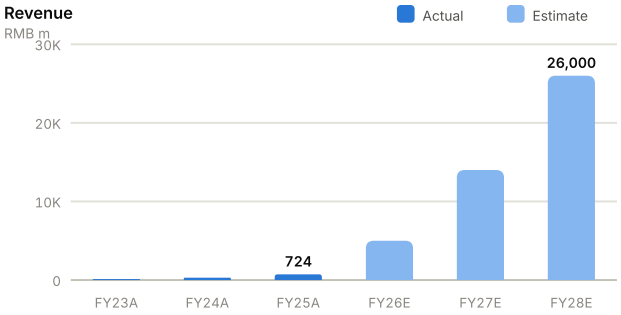
Enterprise and developer spending on LLMs in China is at an early stage. Leading US labs report annualised revenues in the tens of billions of US dollars, which shows the potential scale of the global market. Z.AI's US$3bn ARR target (~RMB20bn) for end-2026 would make it one of the larger Chinese model providers, and distribution through AWS and Alibaba Cloud extends its reach beyond China.

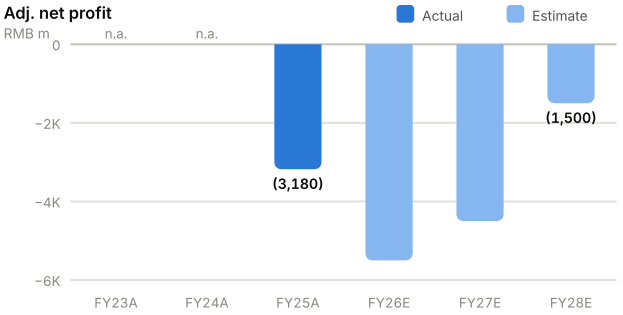
US$3.0bn
Management's end-2026 ARR target

~US$9.5bn
Equity and convertible raised since the January 2026 IPO

−80%
Unit inference cost after moving to domestic chips

Financial analysis



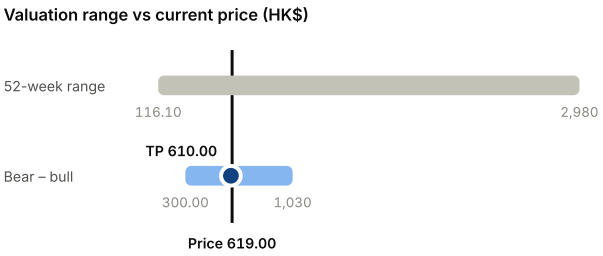


Revenue grew from RMB312m (FY24) to RMB724m (FY25, +132%) and RMB954m in H1'26 (+400% YoY). The FY25 net loss was RMB4.7bn (adjusted RMB3.2bn) on R&D of RMB3.2bn, and the H1'26 adjusted loss widened to RMB1.96bn. We estimate ~RMB45bn of net cash after the September raise, net of the RMB20.1bn zero-coupon convertible (conversion price HK$892.50). We forecast revenue of RMB5,000m/14,000m/26,000m, well below the Goldman forecasts in the source pack (RMB8.2bn/26.7bn for FY26/27), with breakeven in 2028–29.

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
MiniMax	0100 HK	n.m.	n.m.	49.0x
SenseTime	0020 HK	n.m.	n.m.	6.6x
iFlytek	002230 CH	90.9x	n.m.	3.4x
Z.AI (Zhipu AI)	**2513 HK**	**n.m.**	**n.m.**	**117x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E). EV/sales on trailing revenue; SenseTime approximated by P/S.



Bear (7x on FY28E revenue of RMB14bn): HK$300.00. Bull (12x on FY28E revenue of RMB40bn): HK$1,030.

We value Z.AI at 10x EV/sales on FY28E revenue of RMB26,000m, discounted back two years at 15%, plus net cash, for a TP of HK$610. Broker targets (Goldman HK$1,560, Morgan Stanley HK$1,700) assume much faster revenue growth. Bear case HK$300: RMB14bn of FY28E revenue at 7x. Bull case HK$1,030: RMB40bn at 12x, i.e. the ARR target is met and keeps growing.

Sources: Company FY25 results (via Reuters/SCMP) and H1'26 interim report; Magica; Futu; Tiger; The Standard; DealStreetAsia; Venture Atlas; StockAnalysis; IBKR; source pack.

17 · AI LARGE-MODEL DEVELOPERS · AI FOUNDATION MODELS

MiniMax 稀宇科技

0100.HK · Initiation of coverage · 12 October 2026

Hold

TP HK$210

Price HK$214.00 · −2%

Global consumer reach and a fast-growing API business, but losses are three times revenue

MiniMax builds text, video and voice foundation models and sells them through an API platform and consumer apps (Talkie, Hailuo, MiniMax Voice); ~61% of revenue comes from outside mainland China. H1'26 revenue rose 283% to US$117m, yet the adjusted loss was US$293m. After a 77% fall from June, the stock trades at ~13.5x FY27E EV/sales. We initiate at **Hold**, TP HK$210 (−2% vs current).

- **Mix is shifting to enterprise.** Open Platform and enterprise revenue grew 703% in H1'26 to 63% of sales.
- **Global by design.** 236m users across 200+ countries and strong positions in AI video (Hailuo) and voice give MiniMax distribution most Chinese labs lack.
- **Burn and supply overhang dominate near term.** H1 R&D (US$297m) was 2.5x revenue; the July lock-up expiry lifted free float from 5.4% to 54.4%; and the next model (M3 Pro) is a binary swing factor after M3's lukewarm reception.

Catalysts

- M3 Pro and next-generation video/voice model launches.
- FY26 results and enterprise customer wins.
- API pricing moves by DeepSeek and peers.

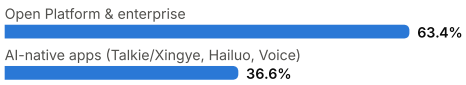
Key risks

- Model competitiveness (M3 Pro) and price war.
- Cash burn and potential dilution.
- Content regulation for companion apps; data rules abroad.
- Share overhang after the lock-up expiry (upside if enterprise API scales faster).

Key data

Price (12 Oct 2026)	HK$214.00
Target price (12m)	HK$210.00
Implied return	−1.9%
Market cap	HK$74.7bn / US$9.5bn
Enterprise value	US$8.1bn
Net cash	US$1.4bn
Shares outstanding	349.2m
52-week range	186.20 – 1,330
Performance	+30% since IPO
Consensus target	HK$588.71, 23 analysts
Other listing	Hong Kong (IPO 9 Jan 2026 at HK$165)

H1'26 revenue mix (%)



Key financials and valuation

Year to December	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue (US$ m)	4	30	79	270	600	1,050
YoY growth	–	+771%	+159%	+242%	+122%	+75%
Gross margin	–	12.2%	25.4%	20.0%	30.0%	38.0%
Adj. net profit (loss) (US$ m)	–	(244)	(251)	(560)	(480)	(280)
Margin	–	-801%	-318%	-207%	-80%	-27%
EV/sales at current price (x)	**n.m.**	**266x**	**103x**	**30.1x**	**13.5x**	**7.7x**

A = actual (company reports; StockAnalysis/S&P Global), E = our estimates. Multiples at the 12-Oct-2026 price, converted at US$1 = HK$7.8475.

Company background

MiniMax was founded in Shanghai in early 2022 by Yan Junjie, formerly a vice-president at SenseTime; its backers include Alibaba and Tencent. It listed in Hong Kong on 9 January 2026 at HK$165 (top of the range), raising ~HK$4.8bn. The shares more than doubled on debut and peaked above HK$1,300, then fell 77% from 1 June. Products include the MiniMax-M text models, Hailuo AI video generation, MiniMax Voice/Audio, and the Talkie (overseas) and Xingye (China) companion apps.

Business model

Revenue comes from two streams. The Open Platform and enterprise services (63% of H1'26 revenue) charge per-token, per-video and per-character API fees plus subscriptions and licences for developers and enterprises. AI-native consumer apps (37%) charge subscriptions and in-app credits in Talkie/Xingye, Hailuo and Voice. Consumer apps bring scale and data but carry high user-acquisition and inference costs, while the enterprise API scales at lower marginal cost. Compute and R&D dominate the cost base.

Competitive landscape

MiniMax competes at home with Kimi, DeepSeek, Z.AI, ByteDance (Doubao, Seedance) and Kuaishou (Kling); abroad, with OpenAI, Google (Veo), Character.AI and ElevenLabs in consumer and media AI. JPMorgan (Neutral, HK$260) flags this competition as the key risk. MiniMax's edges are multimodal breadth, international consumer distribution and cost-efficient model architectures.

Addressable market (TAM)

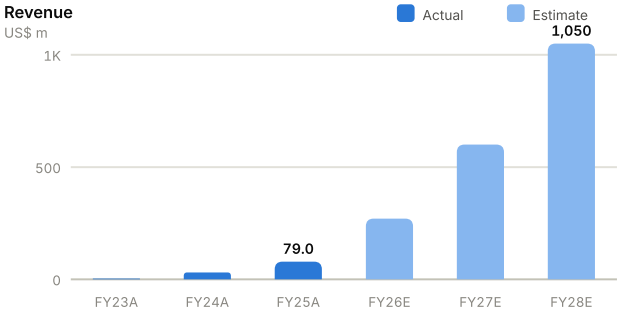
MiniMax addresses both the global API market for foundation models and consumer AI subscriptions (companions, video generation, voice), and both are growing rapidly from a small base. Consumer AI video and voice are among the fastest-monetising categories, while enterprise API spending in China is still early. FY25 revenue of US$79m is a tiny share of either pool.

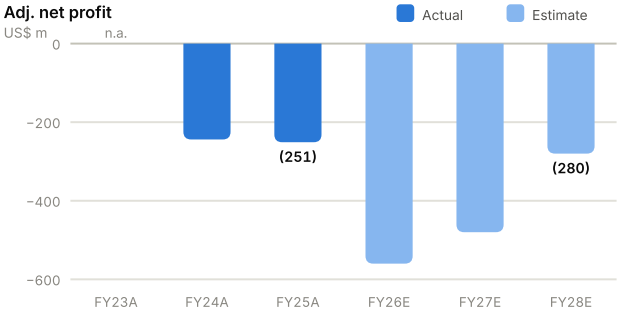
236m
Users across 200+ countries and regions (FY25)

60.8%
Share of H1'26 revenue from outside mainland China

54.4%
Free float after the July lock-up expiry (from 5.4%)

Financial analysis



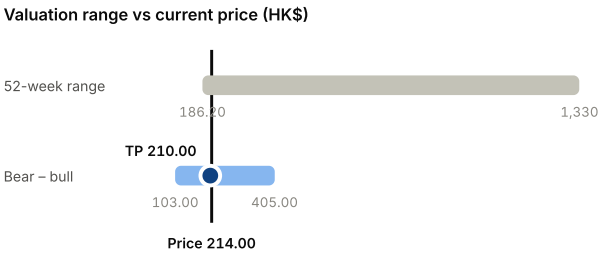


Revenue rose from US$30.5m (FY24) to US$79.0m (FY25, +159%), with gross margin improving from 12.2% to 25.4% and an adjusted net loss of ~US$251m. In H1'26, revenue rose 283% to US$116.6m, gross margin dipped to 17.9% and the adjusted net loss widened to US$293m. Cash was US$1.05bn at end-2025, plus US$0.62bn of IPO proceeds; we estimate ~US$1.4bn of net cash today. We forecast revenue of US$270m/600m/1,050m, close to CMBI for FY26 (US$285m) but below it for FY27 (US$743m).

Valuation

Company	Ticker	Fwd P/E	EV/EBITDA	EV/sales
Z.AI (Zhipu)	2513 HK	n.m.	n.m.	117x
SenseTime	0020 HK	n.m.	n.m.	6.6x
iFlytek	002230 CH	90.9x	n.m.	3.4x
MiniMax	**0100 HK**	**n.m.**	**n.m.**	**49.0x**

Source: StockAnalysis/S&P Global, 12 Oct 2026 (trailing EV/EBITDA and EV/sales; consensus forward P/E). EV/sales on trailing revenue; SenseTime approximated by P/S.



Bear (7x on FY28E revenue of US$0.6bn): HK$103.00. Bull (13x on FY28E revenue of US$1.7bn): HK$405.00.

We use the same method as for Z.AI: 10x EV/sales on FY28E revenue of US$1,050m, discounted back two years at 15%, plus net cash. That gives a TP of HK$210, below both JPMorgan (HK$260) and CMBI (HK$570). Bear case HK$103: US$0.6bn of FY28E revenue at 7x. Bull case HK$405: US$1.7bn at 13x.

Sources: Company FY25 results release and H1'26 interim report; CMBI; JPMorgan (via Futu); Tiger; DealStreetAsia; Jiemian; StockAnalysis; IBKR; source pack.

Methodology

Scope. These are short initiations: company background, business model, competitive landscape, addressable market, a brief financial analysis and a valuation for each of the 17 companies in the source pack. They are deliberately concise; they are not full models.

Data. Historical financials (FY23–25 and TTM) come from company filings as compiled by StockAnalysis.com (S&P Global Market Intelligence data) and from H1'26 interim reports. Consensus estimates, consensus targets and peer multiples are from StockAnalysis/S&P Global as of 12 October 2026 unless a broker is named. Share prices, 52-week ranges, FX and gold/copper futures are from Interactive Brokers (12-Oct-2026). Industry figures (CCMA, SNE Research, Wood Mackenzie, Argus, TrendForce, Frost & Sullivan, IFR, Prismark) are cited as reported by the sources named in each note.

Estimates. FY26–28E figures are our own simplified projections of revenue, gross margin and attributable net profit (adjusted net profit for loss-makers). EPS uses current shares outstanding. Dividends assume the payout ratios stated in each report.

Valuation. Profitable companies use target P/E multiples on FY27E EPS, cross-checked against listed peers and the bear/bull scenarios shown. Loss-making growth companies use EV/sales on FY27E (Horizon, Edge Medical) or FY28E revenue discounted two years at 15% (Z.AI, MiniMax), plus net cash. Leaderdrive uses capitalised FY30E earnings discounted three years at 10%. H-share targets convert RMB values at HK$1 = RMB0.8531; MiniMax at US$1 = HK$7.8475.

Ratings. Buy: implied 12-month return ≥ +20%. Hold: between −10% and +20%. Sell: ≤ −10%. Ratings are derived mechanically from the target price.

Key sources

- Source pack: "17 China/HK Stocks: Business Model, Performance and Outlook" (6 October 2026), including citations to CMBI, UOB Kay Hian, Futu/Moomoo, Longbridge, Tiger Brokers, Simply Wall St, Gasgoo, Gawin Research, Venture Atlas, Magica, The Standard and HKEX filings.
- Company results: Zijin (FY25, H1'26, 2026–28 plan), CATL (FY25, H1'26), Sany (FY25 release), GigaDevice (FY25, H1'26), Huayou (FY25, Q1'26), Sungrow (FY25), Sieyuan (FY25 express), Han's Laser (FY25), JL Mag, China Jushi, Tianqi, Ganfeng and Leaderdrive (H1'26), Horizon Robotics (FY25 annual results, H1'26 HKEX interim results), Edge Medical (H1'26 HKEX interim results), Z.AI (FY25 results via Reuters/SCMP; September 2026 placement and CB terms via DealStreetAsia/The Standard), MiniMax (FY25 results release).
- Market data: Interactive Brokers (equity prices, USD/CNH, USD/HKD, COMEX gold and copper); StockAnalysis.com (statistics, income statements, forecasts, peer multiples).
- Industry: CCMA excavator data (via Mysteel/Yieh), SNE Research (via company/press), Wood Mackenzie inverter rankings and lithium supply, Argus (Indonesian MHP), TrendForce (NOR prices), Frost & Sullivan (specialty memory), Trading Economics/SMM (lithium carbonate), Benchmark/SMM (NdPr), IGO ASX quarterlies (Greenbushes/Kwinana).

Important disclosures

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